



**SARRTHI IAS**



# PRELIMS NAVIGATOR PROGRAM

## UPSC PRELIMS 2026

### Economic Survey by Dr. Shivin

## UPSC CSE PRELIMS 2026



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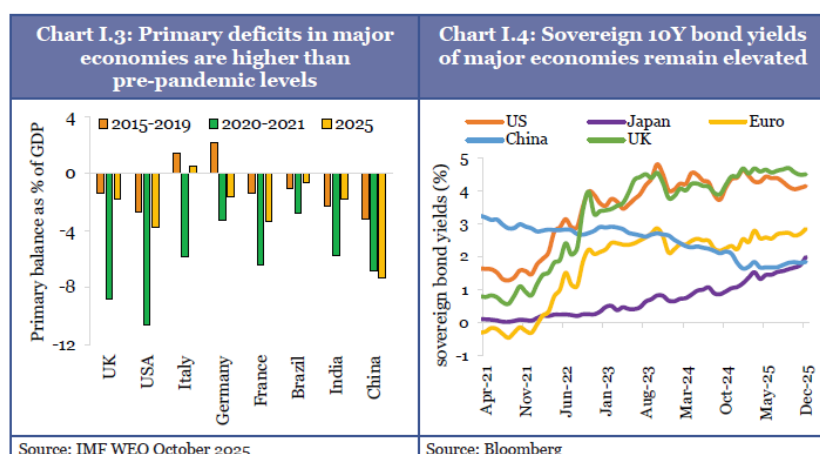
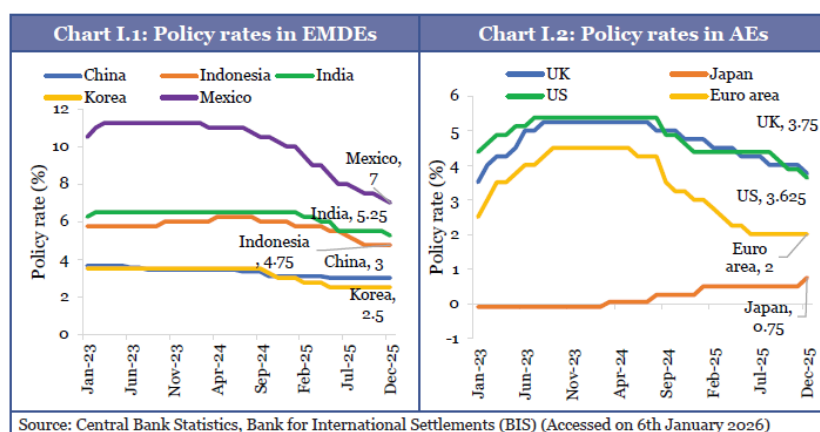
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**CHAPTER 1: STATE OF THE ECONOMY- PUSHING THE GROWTH FRONTIER**

- The global economic environment remains uncertain, shaped by **geopolitical tensions, trade disruptions, and divergent growth and inflation** outcomes across major economies.
- Underlying vulnerabilities persist, including **elevated fiscal pressures, fragmented supply chains, and an increased reliance on economic policy** instruments for strategic purposes.
- The Indian economy has **maintained strong growth momentum in FY26**.
- The chapter highlights the **role of consumption and investment in sustaining growth**, even as external demand provides incremental support amid challenging global conditions.
- Inflation has moderated, financial sector balance sheets remain healthy, and fiscal policy continues to strike a balance between supporting growth and consolidation.
- The **external sector remains manageable**, supported by services exports and adequate foreign exchange reserves.
- India's **medium-term growth potential has strengthened to 7 per cent**, positioning the economy on a path of steady expansion amid global uncertainty.

**GLOBAL ECONOMIC GROWTH – FRAGILE AND DIVERGING**

- Globally, the **move from aggressive monetary tightening toward a neutral or accommodative stance** is continuing, but countries are following different interest-rate paths because growth and inflation outcomes vary across economies.
- **Long-term borrowing costs** for the world's biggest economies have **stayed elevated** as investors question the ability of governments to cover massive budget deficits.
- These pressures are showing in **elevated bond yields across major AEs, particularly in the ultra-long tenure segment**.
- Earlier in May 2025, 30-year bond yields reached a peak of 5.15 per cent in the US, approaching levels last seen in 2007.
- Those in **Japan exceeded the highest on record in data since 1999**, with auctions in both countries drawing tepid demand.
- Long-dated bonds in the UK, Germany and Australia also faced selling pressure
- As per the **United Nations Conference on Trade and Development's (UNCTAD) World Investment Report 2025**, FDI flows in 2024, barring those in certain conduit economies, declined by 11 per cent YoY





### The resurgence of economic statecraft

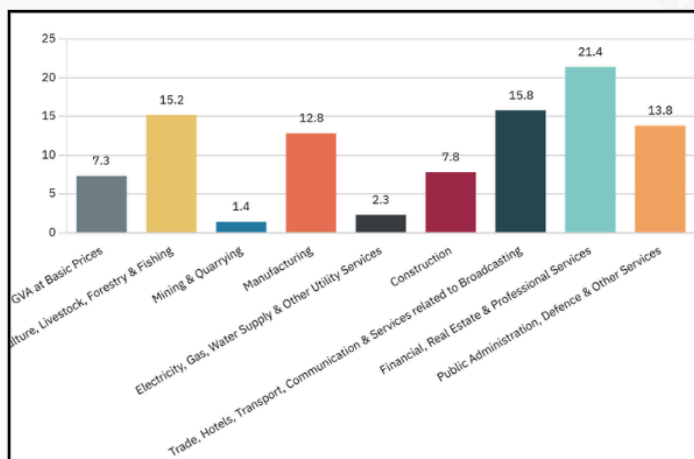
- The United States has **imposed extensive export controls on advanced semiconductors and associated manufacturing equipment** to constrain China's access to next-generation AI and chip technologies
- China has **tightened export licensing and controls** on key **rare earth elements and permanent magnet materials** essential for defence, electronics, and energy transitions
- Chinese authorities have added **foreign defence and technology firms** to “**Unreliable Entities Lists**,” restricting trade and investment in response to perceived national security threats.
- Western nations have used **sanctions against Russian entities** to constrict war-related supply chains
- Tariffs: Rolled out in 2023 and fully **effective from 2026**, the **EU Carbon Border Adjustment Mechanism (CBAM)** puts tariffs on imports like steel and cement

### TRENDS IN THE DOMESTIC ECONOMY

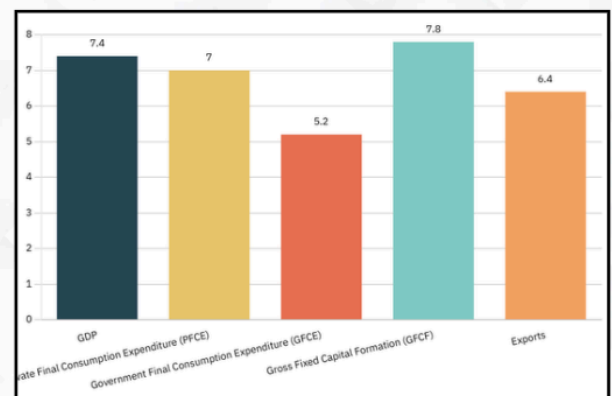
- India's status as the fastest-growing major economy for the fourth consecutive year is maintained.

#### Sectoral contribution to GDP- Real Growth%, FY 26(FAE)

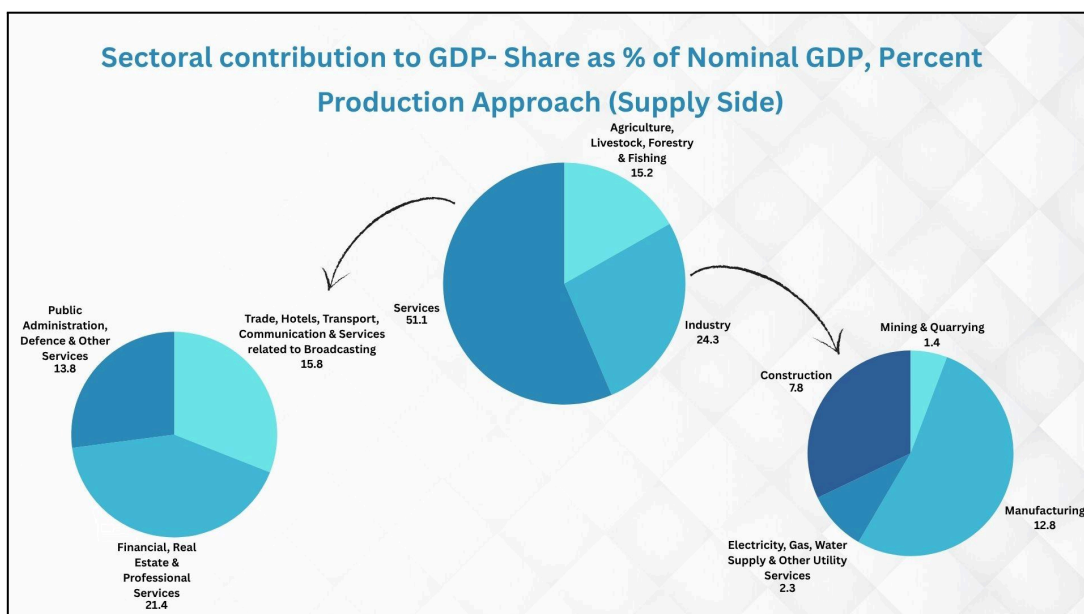
##### Production Approach (Supply Side)



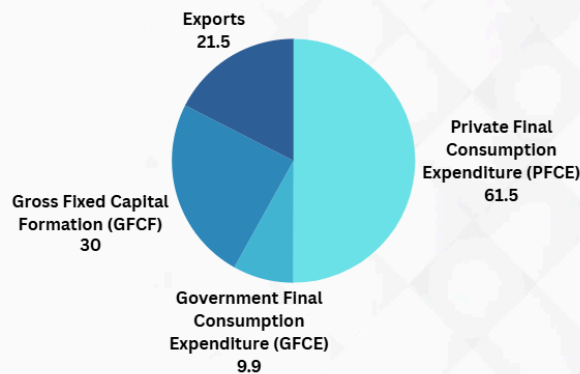
##### Expenditure Components (Demand Side)



#### Sectoral contribution to GDP- Share as % of Nominal GDP, Percent Production Approach (Supply Side)

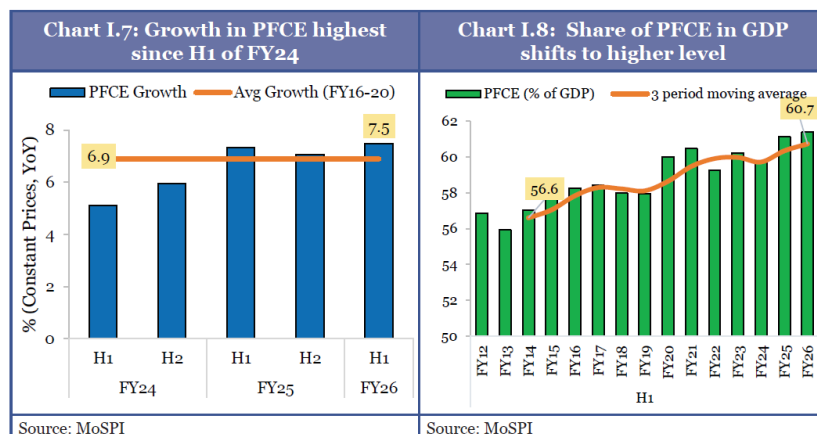


### Sectoral contribution to GDP- Share as % of Nominal GDP, Percent Expenditure Components (Demand Side)

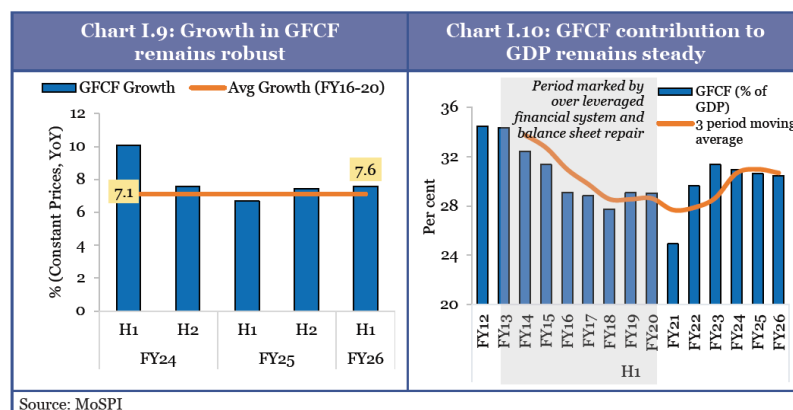


#### Demand side: Domestic drivers anchor GDP growth in FY26

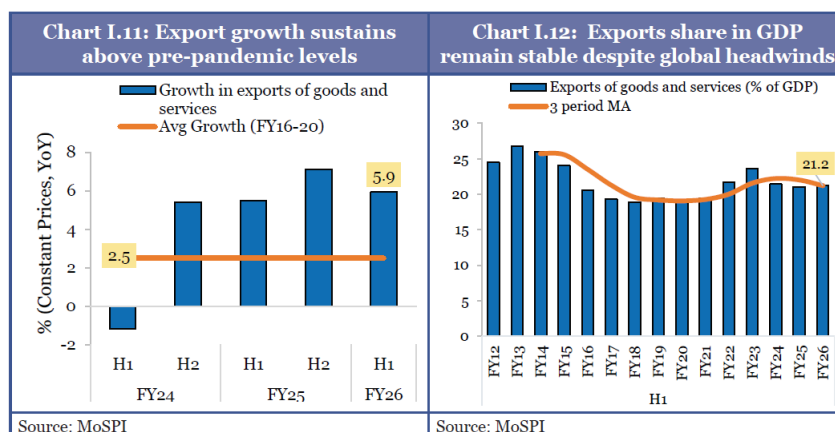
- Steady rural consumption, bolstered by strong agricultural performance, and the gradual improvement in urban consumption, aided by the rationalisation of direct and indirect taxes, reaffirm that the momentum in consumption demand is broad-based.



- NABARD's Rural Economic Conditions and Sentiments Survey** reported 79.2 per cent of rural households onsumption increased during the last year
- The momentum of GFCF was buoyed by **sustained public capital expenditure** and a **revival in private investment** activity as evident from corporate announcements

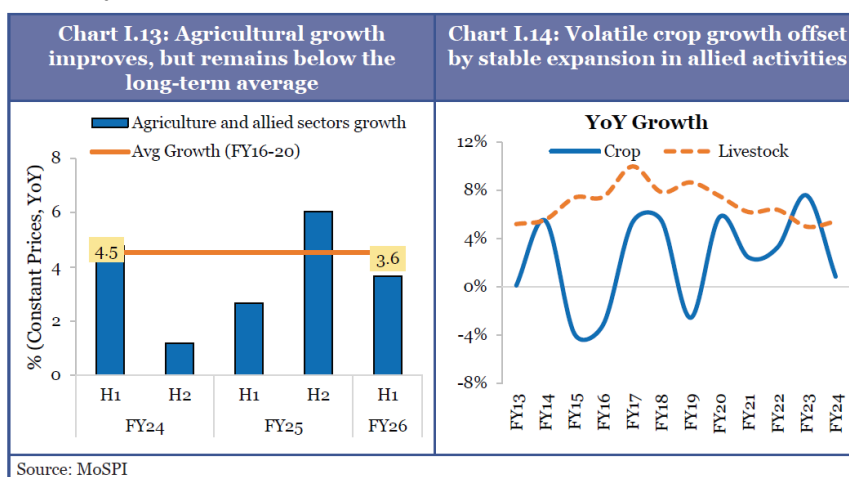


- Services exports have continued to provide a stable anchor for growth, partially offsetting the greater volatility in goods exports, amid tariff related uncertainties.



### Industry and Services lead supply-side growth in FY26

- Growth in GVA during FY26 was led by the industry and services sectors, supported by sustained capital expenditure, improved capacity utilisation, and steady demand for services.
- Agriculture has provided a stabilising force, with output supported by favourable monsoon conditions and steady value addition from allied activities.



- Agricultural activity in H1 FY26 was **supported by a favourable monsoon**. Agricultural GVA grew by 3.6 per cent, higher than the 2.7 per cent growth recorded in H1 FY25, but remained below the long-term average of 4.5 per cent

### Nowcasting India's quarterly GDP growth

- Given the lag in the availability of official quarterly GDP estimates, a nowcasting exercise using high-frequency indicators provides a contemporaneous assessment of near-term growth conditions
- The **basic principle of nowcasting** is the exploitation of the information which is published early and possibly at higher frequencies than the target variable of interest in order to obtain an 'early estimate' before the official figure becomes available.
- The **Reserve Bank of India (RBI)** utilizes a **Dynamic Factor Model (DFM)** to nowcast India's GDP, which historically relies on a set of 27 high-frequency indicators (HFIs) representing industry, services, and global activity.
  - Out of these 27 HFI, The **17 High-Frequency Indicators (HFIs)** are part of a specific **nowcasting framework** developed by the Government of India to provide near real-time assessments of economic activity before official quarterly GDP data is released.

| High Frequency Indicator                | Economic Utility                                                                                                                       |
|-----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| <b>Industrial &amp; Infrastructure</b>  |                                                                                                                                        |
| 1. Index of Industrial Production (IIP) | <ul style="list-style-type: none"> <li>Primary measure of absolute output in mining, manufacturing, and electricity.</li> </ul>        |
| 2. Cement Production                    | <ul style="list-style-type: none"> <li>Early indicator of construction activity and infrastructure project momentum.</li> </ul>        |
| 3. Steel Production                     | <ul style="list-style-type: none"> <li>Reflects demand in construction, automobile manufacturing, and engineering.</li> </ul>          |
| 4. Coal Production                      | <ul style="list-style-type: none"> <li>Key proxy for energy security and input supply for the power and heavy industry.</li> </ul>     |
| 5. Electricity Consumption              | <ul style="list-style-type: none"> <li>Real-time gauge of overall economic activity across industrial and commercial units.</li> </ul> |
| 6. PMI Manufacturing                    | <ul style="list-style-type: none"> <li>Survey-based "leading indicator" that predicts expansion before official data.</li> </ul>       |
| <b>Services &amp; Consumption</b>       |                                                                                                                                        |
| 7. Automobile Sales                     | <ul style="list-style-type: none"> <li>Measures urban discretionary spending and consumer confidence.</li> </ul>                       |
| 8. Tractor Sales                        | <ul style="list-style-type: none"> <li>Critical proxy for rural demand and agricultural income levels.</li> </ul>                      |
| 9. Air Passenger Traffic                | <ul style="list-style-type: none"> <li>High-frequency indicator for the recovery and growth of the services sector.</li> </ul>         |
| 10. Aircraft Movements                  | <ul style="list-style-type: none"> <li>Measures logistics efficiency and capacity utilization in the aviation industry.</li> </ul>     |
| 11. PMI Services                        | <ul style="list-style-type: none"> <li>Tracks sentiment and growth in the services sector (the largest contributor to GDP).</li> </ul> |
| <b>Trade &amp; Logistics</b>            |                                                                                                                                        |
| 12. Rail Freight Traffic                | <ul style="list-style-type: none"> <li>Indicates the volume of bulk domestic trade (coal, cement, grains, etc.).</li> </ul>            |
| 13. Port Cargo Traffic                  | <ul style="list-style-type: none"> <li>Reflects the health of India's international trade and shipping logistics.</li> </ul>           |
| 14. Non-Oil Exports                     | <ul style="list-style-type: none"> <li>Measures global demand for Indian manufactured goods and services.</li> </ul>                   |
| 15. Non-Oil Non-Gold Imports            | <ul style="list-style-type: none"> <li>Proxy for domestic industrial demand for raw materials and capital goods.</li> </ul>            |
| <b>Fiscal &amp; Formalization</b>       |                                                                                                                                        |
| 16. Gross Tax Revenues                  | <ul style="list-style-type: none"> <li>Reflects the overall health of corporate profits and individual incomes.</li> </ul>             |



|                                  |                                                                                                                                |
|----------------------------------|--------------------------------------------------------------------------------------------------------------------------------|
| <b>17. e-Way Bills Generated</b> | <ul style="list-style-type: none"> <li>Direct real-time measure of internal trade and formalization of the economy.</li> </ul> |
|----------------------------------|--------------------------------------------------------------------------------------------------------------------------------|

### Strengthening India's National Statistical System: From Data Generation to Data Readiness

Government has undertaken a **comprehensive strengthening of the National Statistical System**, spanning new data generation, survey modernisation, macroeconomic rebasing, digital dissemination and data harmonisation

#### Expanding the data frontier through new surveys:

| Survey                                                                   | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|--------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Annual Survey of Incorporated Service Sector Enterprises (ASISSE)</b> | <ul style="list-style-type: none"> <li>It is a new NSO-MoSPI annual survey to build a <b>regular database on the incorporated/organised service sector</b>, where consistent granular data has been lacking.</li> <li>It is designed to generate <b>State- and industry-level estimates</b> on key variables such as <b>GVA, fixed capital, capital formation, employment, and emoluments</b>.</li> <li>It will use <b>GSTN-based datasets/frame</b> for better coverage of the corporate services sector.</li> </ul>            |
| <b>All India Debt and Investment Survey (AIDIS)</b>                      | <ul style="list-style-type: none"> <li>This is the national survey that captures <b>household debt, assets, liabilities, and investment patterns</b>.</li> <li>MoSPI has indicated that the next round is planned for <b>July 2026 to June 2027</b>, and that these topics are being kept <b>outside the Household Income Survey</b> because AIDIS will cover them in detail.</li> <li>It is important because it helps assess <b>household balance sheets and financial vulnerability</b>.</li> </ul>                           |
| <b>Household Income Survey / National Household Income Survey (NHIS)</b> | <ul style="list-style-type: none"> <li>It is a new all-India survey meant to generate data on <b>household income distribution and welfare</b>, a long-standing gap in India's official statistics.</li> <li>MoSPI constituted a <b>Technical Expert Group</b> to finalise concepts, definitions, survey design, and estimation methods using international best practices.</li> <li>The survey also aims to examine <b>sources/patterns of income</b> and the <b>impact of technology on household wages/income</b>.</li> </ul> |

#### Changes made in existing surveys

| Existing Survey                                                   | Changes made                                                                                                                                                                                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Annual Survey of Unincorporated Sector Enterprises (ASUSE)</b> | <ul style="list-style-type: none"> <li>ASUSE has been updated with National Industrial Classification (<b>NIC 2025</b>) replacing NIC 2008 and the introduction of Central Product Classification (<b>CPC 3.0 (draft)</b>) for product classification.</li> <li>It will now be <b>released quarterly</b>,</li> <li>New questions on <b>logistics and operational characteristics</b> have been added.</li> </ul> |

|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                 | <ul style="list-style-type: none"> <li>Raising the sample size substantially to <b>enable district-level estimates</b></li> </ul>                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Periodic Labour Force Survey (PLFS)</b>      | <ul style="list-style-type: none"> <li>From 2025, PLFS methodology was modified to provide <b>monthly and quarterly labour-force estimates</b> at the all-India level.</li> <li>The sample design was revamped, including an increase in surveyed households per selected unit from <b>8 to 12</b>, raising the sample size substantially to <b>enable district-level estimates</b></li> <li>Additional questions, including <b>education-related items</b>, were also incorporated in the schedule.</li> </ul> |
| <b>Forward-looking CAPEX Survey</b>             | <ul style="list-style-type: none"> <li>It provides provides valuable policy insights into <b>expected investments by enterprises over two consecutive financial years</b>.</li> <li>This survey has been introduced in a more structured, <b>web-based, forward-looking format</b> to capture <b>private sector investment intentions</b> and actual capex realization.</li> </ul>                                                                                                                              |
| <b>Modular surveys on telecom and education</b> | <ul style="list-style-type: none"> <li>MoSPI has introduced <b>short-duration Comprehensive Modular Surveys (CMS)</b> to meet immediate policy data needs.</li> <li>Under NSS 80th Round, separate modules were run on <b>Telecom and ICT skills</b> and on <b>Education</b>.</li> <li>These are meant to quickly generate focused indicators on specific sectors instead of waiting for long full-scale surveys.</li> </ul>                                                                                    |

### Modernising surveys and strengthening state statistical systems

- Computer-Assisted Personal Interviewing (CAPI), integrated with the cloud-based eSIGMA platform, enables real-time validation, monitoring, geotagging and faster data processing. As a result, survey reports are now released within 45 to 90 days, while monthly results are made available within 15 days.

### Rebasing macroeconomic indicators for a changing economy

- India has **revised the GDP base year from 2011–12 to 2022–23**
  - Some of the major changes contemplated in the new GDP series include:**
    - Segregation of activities of multi-activity enterprises
    - Use of GST data for regional allocation in the private corporate sector
    - Increased dynamism in measuring the household sector through survey results
    - Improved estimation of private final consumption expenditure using administrative data sources such as e-Vaahan
    - Use of single extrapolation and double deflation, wherever feasible, with deflators applied at more disaggregated levels
    - Revision in the methodology of quarterly estimates through improved benchmarking and alignment of indicators, methodology and deflators with annual accounts
    - Strengthening of informal sector estimates through the combined use of ASUSE and PLFS
    - Reconciliation of production and expenditure-side estimates using the Supply and Use Tables (SUT) framework to address discrepancies in the existing series
- Index of Industrial Production (IIP) is also being rebased to 2022-23, and is scheduled for release on 28 May 2026.**
  - The major methodological improvements proposed in the new series include:**

- An updated item basket incorporating new and emerging industrial products, while removing obsolete items
- Selection and substitution of factories to ensure a representative sample and address closures and non-response
- Introduction of seasonal adjustment to smooth short-term variations
- Adoption of chain-based indices to enhance timeliness and representativeness
- Inclusion of “not elsewhere classified (n.e.c.)” items to better capture production

#### ● The Consumer Price Index (CPI) is being rebased to 2024

- **Base revised from 2012 to 2024 using Household Consumption Expenditure Survey 2023-24**
- 12 Divisions in place of 6 Groups in accordance to Classification of Individual Consumption According to Purpose (COICOP) 2018
  - COICOP 2018 is the updated international reference classification for household expenditure, approved by the **UN Statistical Commission** to categorize goods and services by purpose
- **Food & beverages weight was reduced sharply in the combined CPI basket, to 36.75% from 45.86% in the older 2012 series, reflecting changing consumption patterns.**

| Division                                                              | Rural (%) | Urban (%) | Combined (%)  |
|-----------------------------------------------------------------------|-----------|-----------|---------------|
| Food and beverages                                                    | 41.983    | 30.251    | <b>36.753</b> |
| Paan, tobacco and intoxicants                                         | 3.733     | 2.065     | <b>2.989</b>  |
| Clothing and footwear                                                 | 7.123     | 5.464     | <b>6.383</b>  |
| Housing, water, electricity, gas and other fuels                      | 11.764    | 25.000    | <b>17.665</b> |
| Furnishings, household equipment and routine household maintenance    | 4.609     | 4.296     | <b>4.469</b>  |
| Health                                                                | 6.764     | 5.275     | <b>6.100</b>  |
| Transport                                                             | 8.644     | 8.985     | <b>8.796</b>  |
| Information and communication                                         | 3.647     | 3.563     | <b>3.609</b>  |
| Recreation, sport and culture                                         | 1.359     | 1.710     | <b>1.516</b>  |
| Education services                                                    | 2.383     | 4.515     | <b>3.333</b>  |
| Restaurants and accommodation services                                | 2.841     | 3.978     | <b>3.348</b>  |
| Personal care, social protection and miscellaneous goods and services | 5.150     | 4.899     | <b>5.038</b>  |

- **New Additions:** Rural housing, Online media service provider/Streaming services, value added dairy products, Barley & its product, Pen-drive & External Hard disk, Attendant, Babysitter and Exercise equipment
- **Items Removed:** VCR/VCD/DVD player and hiring charges, Radio, Tape recorder, Clothing second-hand, CD/DVD audio/video cassettes and Coir/rope
- As part of the base updation exercise, the CPI 2024 series marks the **introduction of Computer Assisted Personal Interviewing (CAPI) for price data collection**
- In the revised CPI series, **the Housing index is compiled using a weighted average of three constituent groups**, namely “actual rental payments for housing”, “maintenance, repair and security of the dwelling”, and “water supply and other miscellaneous services” relating to the dwelling.

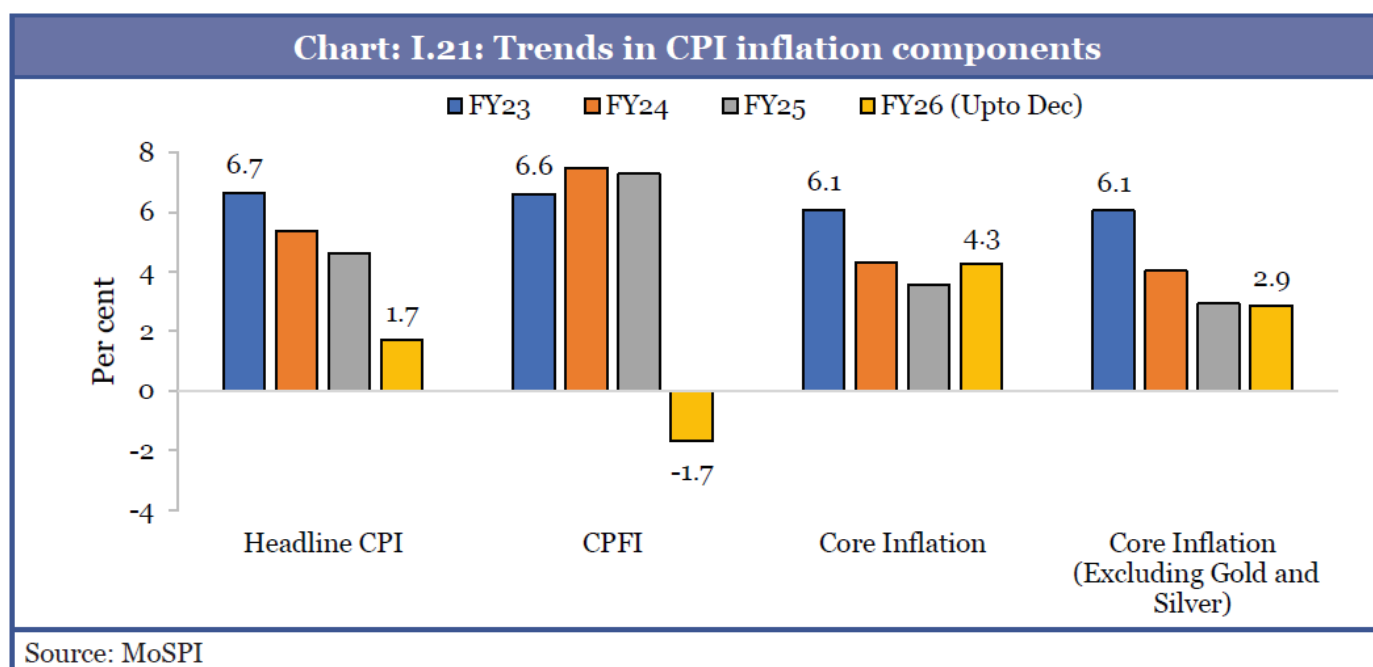
#### ● Data Dissemination Platforms

- **GolStats Mobile App:** Launched in June 2025, the **GolStats mobile application** reflects the vision of building an integrated and accessible data ecosystem that enables stakeholders to access official statistics anytime, anywhere.
  - The app presents major socio-economic indicators through dynamic visualisations, covering metrics such as GDP, inflation, and employment.
  - Users can directly access NSO datasets, supported by advanced search and filtering tools, comprehensive metadata, and mobile-optimised tables for easy viewing.
- **PAIMANA24** for monitoring large public projects,

- **e-Sankhyiki Portal:** Launched in June 2024, the **e-Sankhyiki portal** is a comprehensive data platform hosting over **136 million records**, **772 indicators**, and **18 statistical products** across **nine thematic areas**.
  - Designed in line with global best practices, e-Sankhyiki provides data dissemination through **Application Programming Interfaces (APIs)**, enabling integration with other platforms such as the **National Data and Analytics Platform (NDAP)**.
- **Microdata Access and Other Tools:** A revamped **Microdata Portal** was launched in **2025** serving as a central repository for unit-level data from national surveys and economic censuses and addresses the technological limitations of the earlier system.
  - Developed in collaboration with the **World Bank technology team**

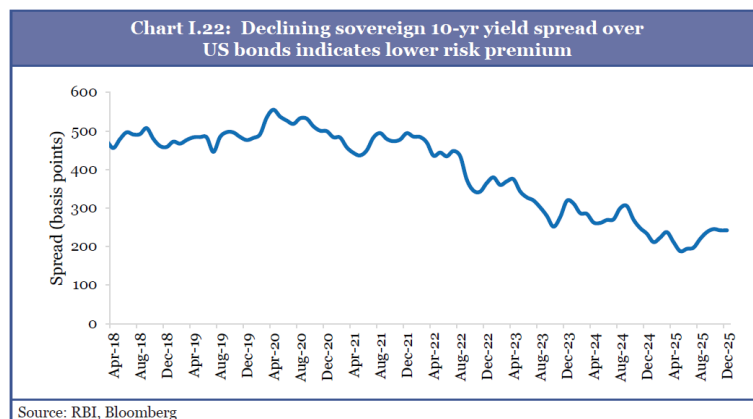
## ASSESSMENT OF DOMESTIC MACROECONOMIC FUNDAMENTALS

### ● Inflation dynamics in the economy



### ● Supportive fiscal policy strategy underpinning domestic demand

- The central government's fiscal trajectory stands out for combining consolidation with sustained public investment, **earning three sovereign rating upgrades** this year Between FY20 and FY25.
  - **Fitch Ratings** – upgraded India's **outlook to 'Positive'** (from Stable)
  - **S&P Global Ratings** – upgraded India's **outlook to 'Positive'**
  - **Moody's Investors Service** – also improved India's **outlook (to Positive/Stable upgrade depending on year context)**
- The central government remains well on track to achieve its envisaged fiscal consolidation

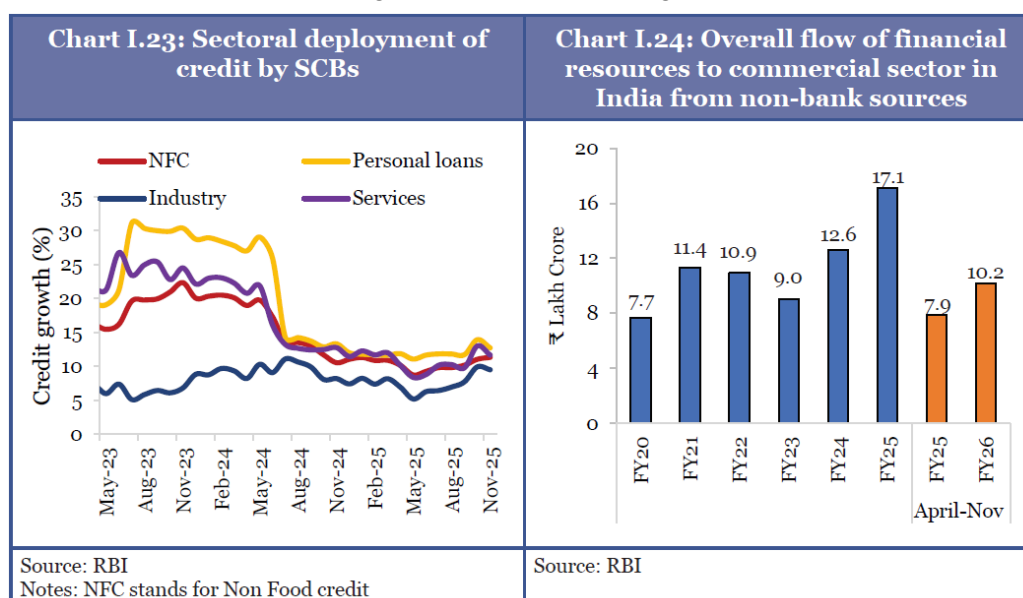


path, aiming to attain a fiscal deficit target of 4.4 per cent of GDP by FY26.

- Credit ratings agency, S&P Ratings, has acknowledged the credibility of and the commitment to the fiscal glide path, while upgrading India's rating from 'BBB-' to 'BBB'. CareEdge Global, in initiating its coverage of India, too assigned a 'BBB+' rating, underscoring India's robust economic performance and fiscal discipline

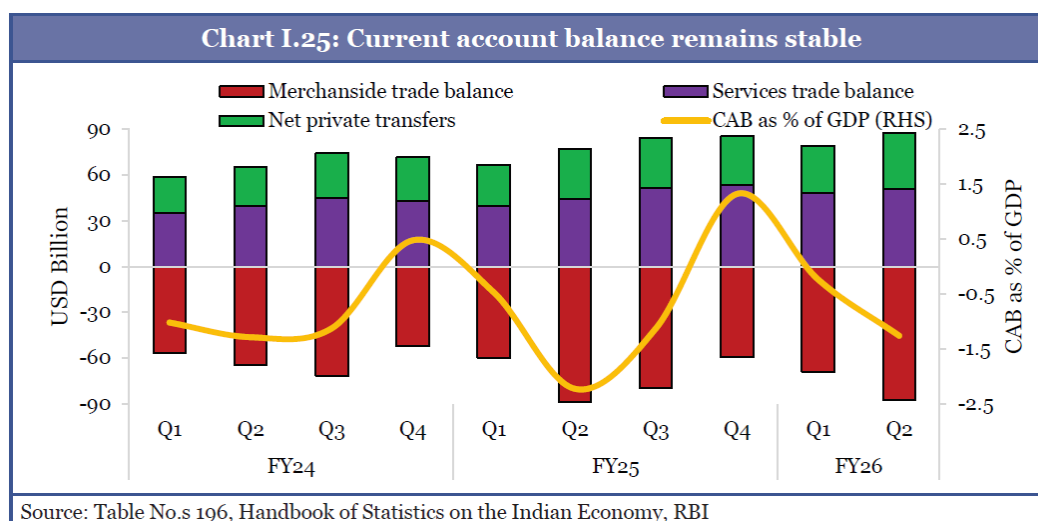
### ● Monetary Transmission and the Changing Credit Mix

- Concurrently, the banking sector has further strengthened its balance sheets, with gross non-performing asset (NPA) ratios declining to multi-decade lows of 2.2 per cent, the half-yearly **slippage ratio remaining stable at 0.7 per cent**
  - The slippage ratio is a key banking metric measuring the rate at which fresh loans turn into Non-Performing Assets (NPAs) during a specific period.



- India's commercial sector is **tapping into alternative sources of financing**, thereby offsetting any moderation in bank credit.
- The faster transmission of monetary policy has **enabled market-based financial instruments** to serve as a viable funding source for large corporations.

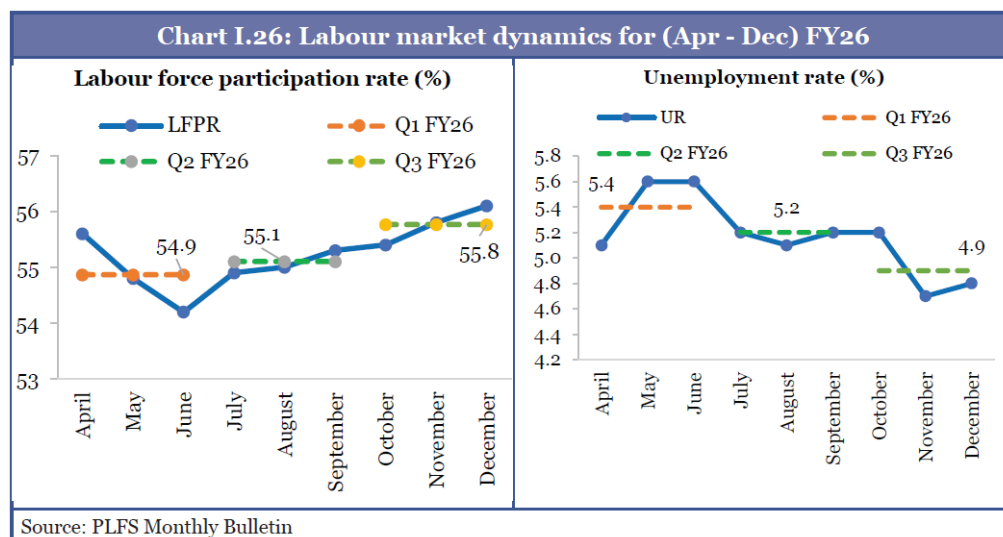
### ● External sector projected to be stable, but headwinds persist



### ● Labour market developments



- Monthly PLFS data show a **broadly steady labour market** with seasonal variations

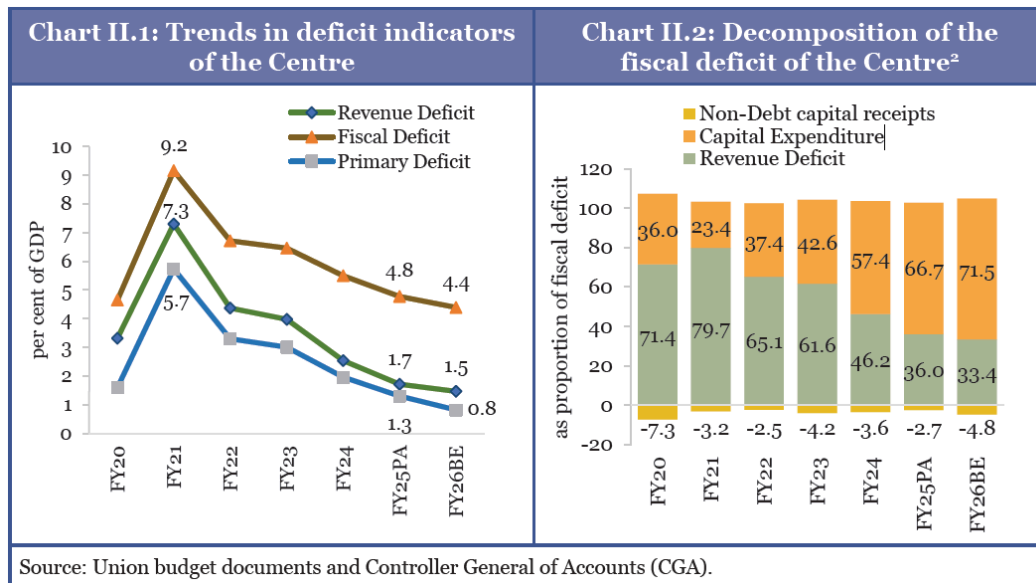


The cumulative impact of policy reforms over recent years appears to have lifted the economy's medium-term growth potential closer to 7 per cent. With domestic drivers playing a dominant role and macroeconomic stability well anchored, the balance of risks around growth remains broadly even. Taking these considerations together, the Economic Survey projects real GDP growth in FY27 in the range of 6.8 to 7.2 per cent.

## CHAPTER-2: FISCAL DEVELOPMENTS: ANCHORING STABILITY THROUGH CREDIBLE CONSOLIDATION

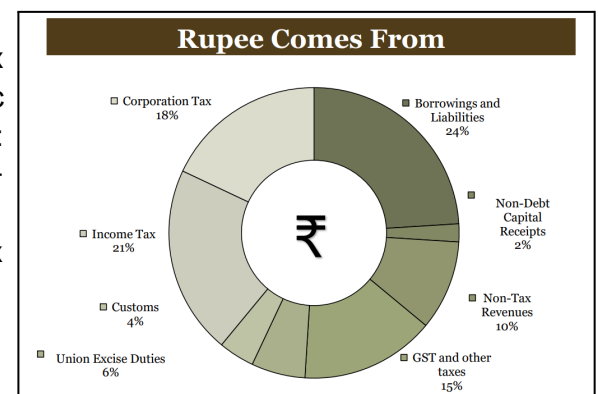
### CENTRAL GOVERNMENT FINANCES

- Recognition of India's fiscal resilience by global rating agencies:- reflected in its **sovereign credit rating upgrades**.
- Fiscal policy as a key anchor of macroeconomic stability and confidence



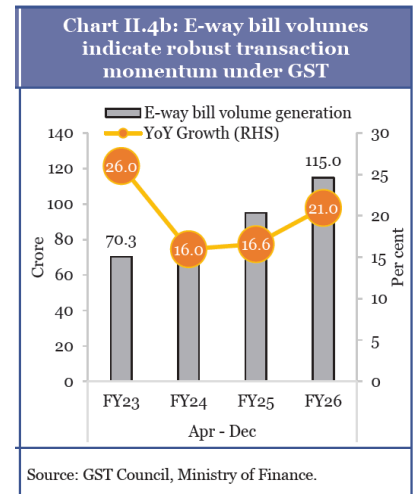
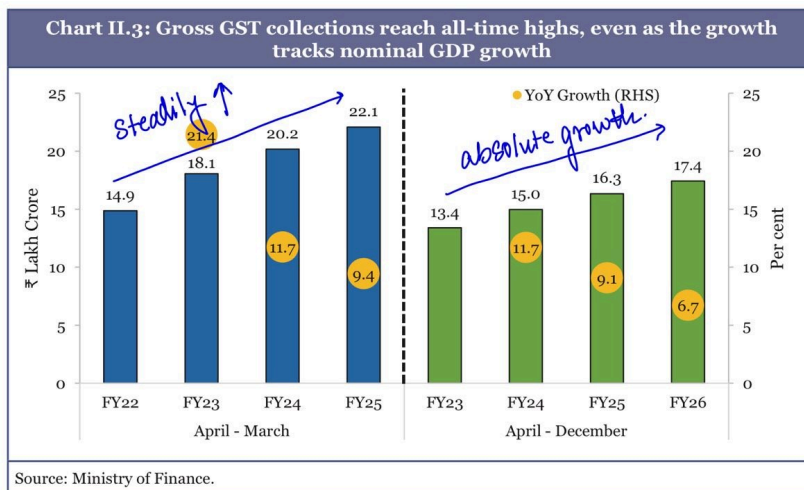
- Sustained revenue buoyancy supports consolidation**
  - Tax buoyancy measures how responsive tax revenues are to changes in overall economic activity, typically GDP. It is measured as follows:  

$$\text{Tax Buoyancy} = \frac{\text{per cent change in tax revenue}}{\text{per cent change in GDP}}$$
    - Buoyancy value >1 implies that Tax revenue grows faster than GDP.**

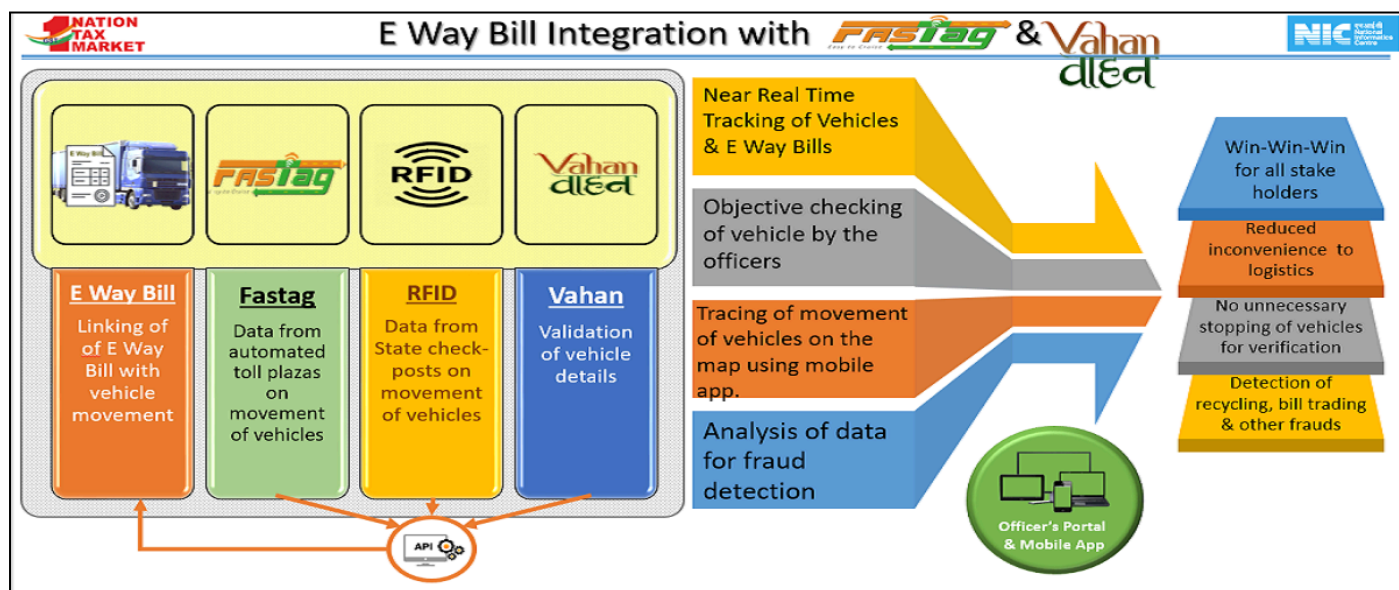


| Tax Category                                            | Tax Buoyancy          | Rationale                                                                                                                            |
|---------------------------------------------------------|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| <b>Non-Corporate Tax</b><br>(Personal Income Tax, etc.) | <b>1.8</b>            | This was driven by a steady expansion of the tax base, technology-enabled compliance, and behavioral " <b>NUDGE</b> " interventions. |
| <b>Corporate Tax</b>                                    | <b>Close to Unity</b> | Collections moved broadly in line with nominal GDP growth.                                                                           |
| <b>Customs Duty</b>                                     | <b>0.4</b>            | The Survey explicitly states that this 0.4 buoyancy reflects <b>calibrated reductions in basic customs duties</b>                    |

- **Nudging Compliance:** Data-Driven Behavioural Interventions for Tax Collection Efficiency in India.
  - **NUDGE (Non-intrusive Usage of Data to Guide and Enable)** approach adopted by the Income Tax Department, focuses on influencing taxpayer behaviour through timely information, gentle prompts, and data-driven insights rather than coercive enforcement.
    - **Foreign Asset Campaign-** Nudging related to the declaration of foreign assets
    - Nudges related to deductions under **Section 80GGC**
    - Targeted nudges led to a reduction in incorrect **House Rent Allowance (HRA)** claims
    - **Data-driven nudges** also improved third-party reporting and accuracy in **TDS filings**
- **The new Income Tax Act, 2025**, focuses on simplification, structural clarity, and continuity of tax policy
- **Goods and Services Tax:** Revenue stability amid ongoing reform.



- Registered taxpayers have increased from about **60 lakh in 2017 to over 1.5 crore at present**.
- **High-frequency indicators** suggest robust transaction volumes, with cumulative **e-way bill volumes** during April-December 2025 growing by **21 per cent YoY**.
  - **The E-Way bill system is for GST-registered persons** / enrolled transporters for generating the way bill (a document to be carried by the person in charge of conveyance) electronically on commencement of movement of **goods exceeding the value of Rs. 50,000** in relation to supply or for reasons other than supply or due to inward supply from an unregistered person.



• **Key Changes introduced in GST 2.0:**

| Category                                    | Key Changes introduced in GST 2.0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Agriculture and related items</b>        | <ul style="list-style-type: none"> <li>GST on agricultural goods (tractors, agricultural, horticultural or forestry machinery etc.) lowered to 5 per cent from 12 per cent.</li> <li>GST rates on key fertiliser inputs such as Sulphuric acid, Nitric acid and Ammonia slashed to 5 per cent from 18 per cent.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Auto &amp; Auto Parts</b>                | <ul style="list-style-type: none"> <li>GST on small cars, motorcycles (350cc &amp; below) and three-wheelers is reduced to 18 per cent from 28 per cent. GST on buses, trucks and ambulances is reduced to 18 per cent from 28 per cent.</li> <li>Uniform 18 per cent GST rate on all auto parts irrespective of their HS code. <ul style="list-style-type: none"> <li>An <b>HS Code (Harmonised System Code)</b> is a globally standardised 6-digit numerical method used by over 200 countries to <b>classify traded products for customs, taxes, and statistics</b>. Developed by the <b>World Customs Organization (WCO)</b>, these codes are essential for identifying goods, determining duty rates, and complying with international shipping regulations.</li> </ul> </li> <li>Motorcycles (&gt;350cc) and cars outside small cars definition have been moved to the 40 per cent slab. However, cess imposed on luxury cars has been removed.</li> </ul> |
| <b>Electronic Appliances</b>                | <ul style="list-style-type: none"> <li>ACs, TVs (larger than 32 inches), dishwashing machines, monitors and projectors set to attract an 18 per cent GST rate compared to 28 per cent earlier.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Textile &amp; Labour-Intensive Goods</b> | <ul style="list-style-type: none"> <li>GST rate reduction on man-made fibres from 18 per cent to 5 per cent and man-made yarn from 12 per cent to 5 per cent.</li> <li>GST on labour-intensive goods such as handicrafts, marble and intermediate leather goods was lowered to 5 per cent from 12 per cent.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

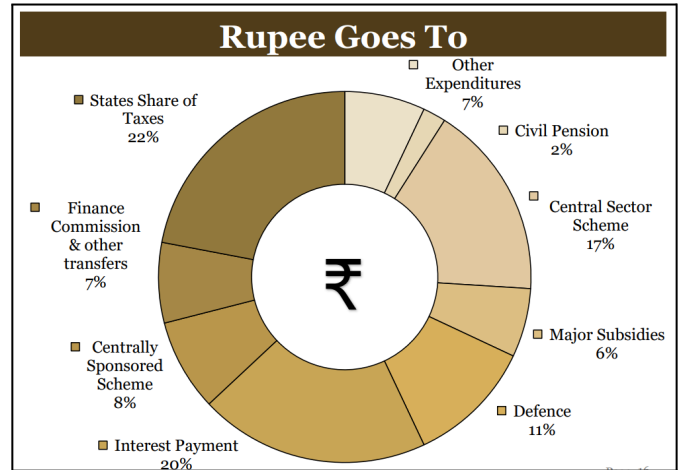
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Everyday essentials &amp; food</b>    | <ul style="list-style-type: none"> <li>• 5 per cent GST rate on hair oil, toilet soap bars, shampoo, toothbrushes, toothpaste, bicycles, tableware, kitchenware and other household articles; these items were either in the 18 per cent or 12 per cent GST bracket earlier.</li> <li>• Zero GST on Ultra-High Temperature (UHT) milk, all Indian breads, and pre-packaged and labelled paneer.</li> <li>• GST lowered to 5 per cent on almost all food items such as packaged namkeens, instant noodles, chocolates, coffee, preserved meat, butter, ghee, etc. Earlier, these items were subject to a GST rate of 12 per cent or 18 per cent.</li> </ul> |
| <b>Medicines &amp; Medical Equipment</b> | <ul style="list-style-type: none"> <li>• Zero GST on select lifesaving drugs &amp; medicines.</li> <li>• GST on all other drugs &amp; medicines slashed to 5 per cent from 12 per cent.</li> <li>• 5 per cent GST on (a) Medical apparatus &amp; devices and (b) Medical equipment and supplies.</li> </ul>                                                                                                                                                                                                                                                                                                                                                |
| <b>Hotel &amp; Personal Services</b>     | <ul style="list-style-type: none"> <li>• Hotel accommodation services (value less than or equal to ₹7,500 per unit per day) to be subject to lower GST of 5 per cent from 12 per cent earlier.</li> <li>• Beauty and physical well-being services (gyms, salons, barbers, yoga centres, etc.) to see a lower GST rate of 5 per cent from 18 per cent.</li> </ul>                                                                                                                                                                                                                                                                                           |
| <b>Insurance Policies</b>                | <ul style="list-style-type: none"> <li>• GST exemption to all individual life and health insurance policies as well as to reinsurance of these individual policies.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |

- **Inverted Duty Structure:** Where tax rates on inputs exceed those on outputs, can be structurally eliminated by taxing inputs and intermediate goods at lower rates and placing items of final consumption at relatively higher rates.
- **Non-tax revenues buoyed by rising dividends and profits:**
  - The non-tax revenues of the Centre, as a percentage of GDP, have broadly remained stable at around **1.4 per cent of GDP**. This stability has been underpinned largely:
    - By a surge in dividends and profits
    - A higher surplus transfers from the RBI
    - Improved financial performance of public sector banks and financial institutions.
    - Between FY20 and FY25, the gross turnover per CPSE increased by approximately 32 per cent, while net profits and dividends per CPSE went up by 174 per cent and 69 per cent, respectively
- **Non-debt capital receipts:**
  - Disinvestment activity remained focused on market-based transactions aligned with valuation discipline and minimum public shareholding norms.
  - Three OFS transactions were undertaken: in **Mazagon Dock Shipbuilders Limited, Bank of Maharashtra and Indian Overseas Bank**.
  - Since **effective control requires only about a 26 per cent stake**, the Government could consider amending the definition of “Government Company” under the Companies Act, limited to listed entities, to allow them to remain as government companies with a **minimum of 26 per cent ownership**, thereby retaining special resolution rights, while enabling the government to monetise its stake.

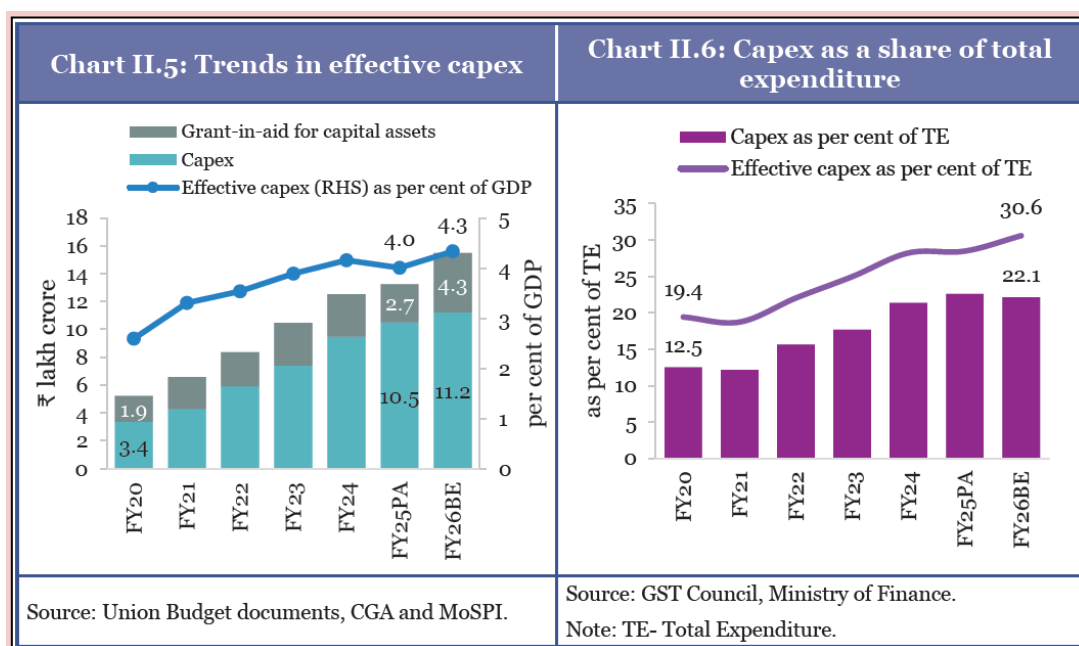


### ● Trends in expenditure

- Continued rationalisation in revenue expenditure
- The revenue expenditure has moderated from 13.6 per cent of GDP in FY22 to 10.9 per cent in FY25.
- **Cross Subsidies in Railways and Power:**
  - The profit from freight traffic was utilised to offset the loss on passenger and other services.
  - In India's power sector, cross-subsidisation primarily involves charging higher tariffs to industrial and commercial consumers (subsidising categories) to offset lower tariffs for domestic and agricultural users (subsidised categories).
- The government has undertaken debt management measures such as switch and buyback operations, and calibrated issuance across the yield curve.
  - **Switch operations:** The government replaces bonds maturing soon with new bonds maturing later. This reduces immediate repayment pressure and spreads debt over time.
  - **Buyback operations:** The government repurchases its own old bonds before maturity. This helps reduce repayment bunching and manage excess liquidity or costly debt.
  - **Calibrated issuance across the yield curve:** Government borrows in a balanced way through short-, medium-, and long-term bonds instead of concentrating only in one maturity segment. This helps control borrowing costs, meet investor demand, and reduce rollover risk.
- **Tech-driven solutions for improving efficiency in public expenditures**
  - **Just-in-Time (JIT) Fund Release Reforms:** It replaces the earlier credit-push model of bulk fund releases with a debit-pull model, under which funds are released only when expenditure is incurred. JIT has been implemented **through two key initiatives**:
    - **SNA-SPARSH** (Single Nodal Account-Samyochit Pranali Ekikrit Shighra Hastantaran) for Centrally Sponsored Schemes (CSS)
    - **Treasury Single Account (TSA)** and TSA Hybrid models for Central Sector (CS) schemes.
  - **Route Optimisation in the Public Distribution System (RO-PDS)** in India is a strategic initiative to improve efficiency and reduce costs by using optimisation algorithms **developed by IIT-Delhi and the UN World Food Programme**
    - RO-PDS also seeks to minimise human intervention that increases costs and pilferage.
    - State governments have been provided the **Anna Chakra Optimisation Tools**, while FCI has received the **Rake Optimisation Tool** to automate and optimise grain supply chain decisions nationwide, **aligned with the PM Gati Shakti initiative**.



### ● Capital Expenditure:



- **Expanding Centre-State transfers through tax devolution and Finance Commission grants**

**Table II.6: Details of transfers from Centre to States (₹ lakh crore)**

|                                | FY22 | FY23 | FY24 | FY25RE | FY26 BE |
|--------------------------------|------|------|------|--------|---------|
| States' share in Central taxes | 9.0  | 9.5  | 11.3 | 12.9   | 14.2    |
| Centrally Sponsored Schemes    | 3.4  | 4.1  | 4.3  | 4.0    | 5.3     |
| Finance Commission Grants      | 2.1  | 1.7  | 1.5  | 1.3    | 1.3     |
| Other Grants/Loans/Transfers   | 2.6  | 3.3  | 3.5  | 4.6    | 4.8     |

Source: Union budget documents.

- For FY26, the **Fifteenth Finance Commission (XV-FC)** has recommended **₹1,47,827 crore as grants-in-aid to States** under **Article 275 of the Constitution**. These grants comprise:
  - post-devolution revenue deficit grants
  - grants to local bodies (including health sector grants)
  - disaster management grants.
- **The XV-FC recommendations:**
  - Net Borrowing Ceiling (NBC) of **3 per cent of GSDP** for the States in FY26.
  - In addition, States may avail **performance-linked additional borrowing of up to 0.5 per cent** of GSDP for the power sector, **over and above** the normal borrowing ceiling.
  - States are permitted to borrow over and above their normal borrowing limits by an amount **equal to the pension contributions** (both employers' and employees') that they deposit under the **National Pension System (NPS)** with the designated authority (NSDL or the trustee bank).

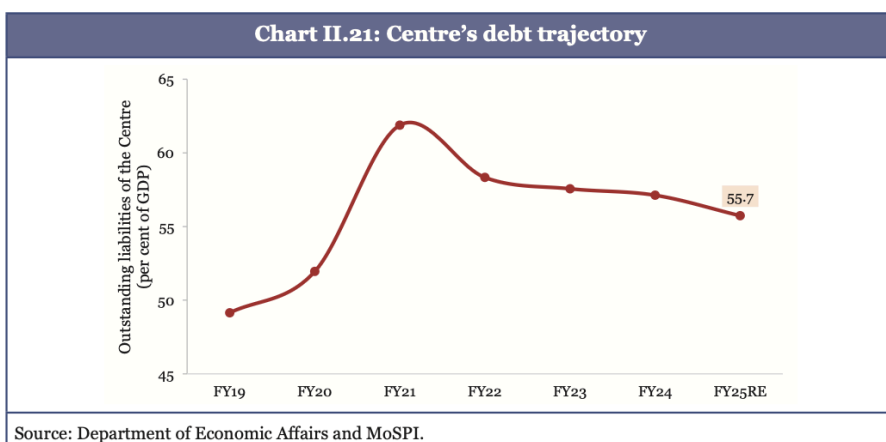
#### ● **Performance of State Finances:**

- **Deficits:** After the sharp correction from the pandemic-induced spike of around **3.9 per cent**, State deficits have gradually edged up again over the past three years to **3.2 per cent**.
- **SASCI** - the **Scheme for Special Assistance to States for Capital Investment**, under which the Centre provides **50-year interest-free loans to states exclusively for capital expenditure**.

- It has high multiplier effects and a role in crowding in private investment.
- The scheme consists of two parts, with a tied and an untied component.
- In FY26, out of the allotted ₹150,000 crore, around ₹68,000 crore has been **allocated as untied assistance**, while ₹80,000 crore is **earmarked for reform-linked and sector-specific investments**. An additional ₹2,000 crore has been allocated to support **States that have faced exceptional revenue shortfalls in recent years**.
- The **NITI Aayog released the inaugural Fiscal Health Index (FHI) 2025** report evaluating 18 major Indian states based on 2022-23 data. Odisha topped the index with a score of 67.8, followed by Chhattisgarh and Goa, highlighting strong fiscal discipline. The report focuses on revenue, expenditure, and debt sustainability to enhance fiscal governance.
- Between FY24 and FY25PA, the **revenue deficit** increased by 40 basis points across all states.
  - A key driver of this renewed fiscal stress has been discretionary **unconditional cash transfers**.
  - As per RBI eSTATES database and CAG monthly provisional accounts **16 States are in revenue deficit, while 12 are in revenue surplus**.
- The overall capital outlay of States increased from **2.17 per cent of GDP in FY22 to 2.37 per cent in FY25(PA)**; however, excluding **SASCI-linked** capital spending, **States' capex** declined from **2.11 per cent to 1.92 per cent of GDP** over the same period. The scheme has therefore helped States avoid a pro-cyclical compression of public investment.
- **Revenue expenditure** continues to account for the bulk of State spending.
- Unconditional cash transfers (UCTs) have expanded rapidly across several States with around half of these States estimated to be in revenue deficit.
- The combined **revenue receipts** of the states have grown at a rate of 6.6 per cent during the first eight months of the year, which is lower than the YoY growth of the previous year.
- The shortfall in **revenue receipts** has, however, outpaced the moderation in expenditure, leading to a sharp overshoot in the **revenue deficit to 155 per cent of BE** as at the end of November 2025.

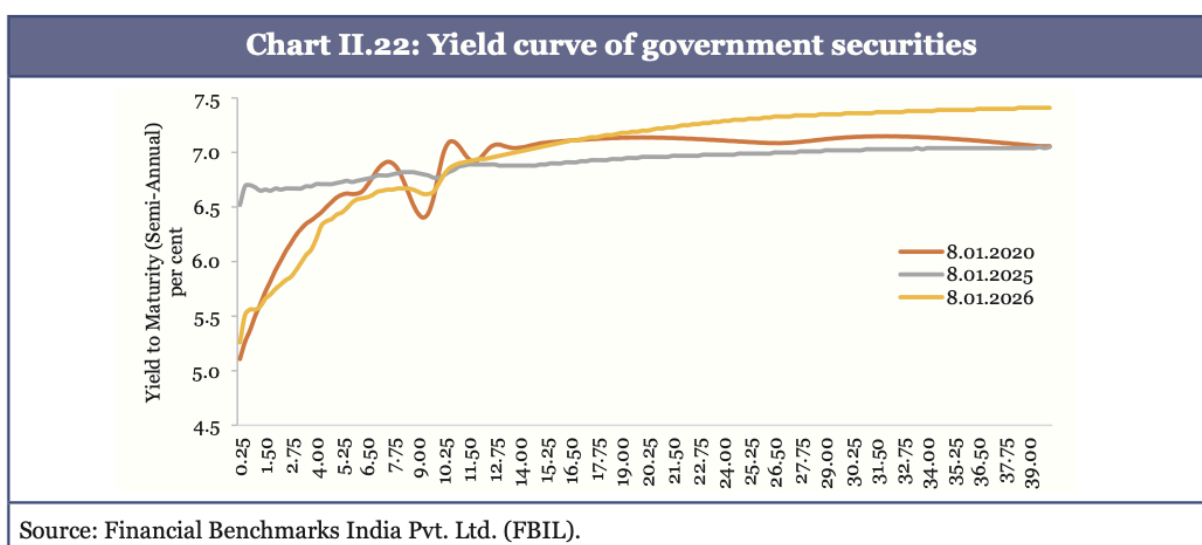
## DEBT PROFILE OF THE GOVERNMENT

- **Central Government Debt:** Government's medium-term goal to achieve a debt-to-GDP ratio of 50  $\pm$  1 per cent by FY31 reflects a deliberate effort to strengthen overall **debt sustainability** while preserving **policy flexibility** in an uncertain global environment.
- **Fiscal policy framework for the Central Government:** In the **FY26 budget**, the government outlined a **new fiscal glide path**, aiming to **reduce the Central Government's debt-to-GDP ratio to around 50 per cent by FY31**. The choice of the **debt-to-GDP ratio as the fiscal anchor** is:
  - Consistent with global thinking



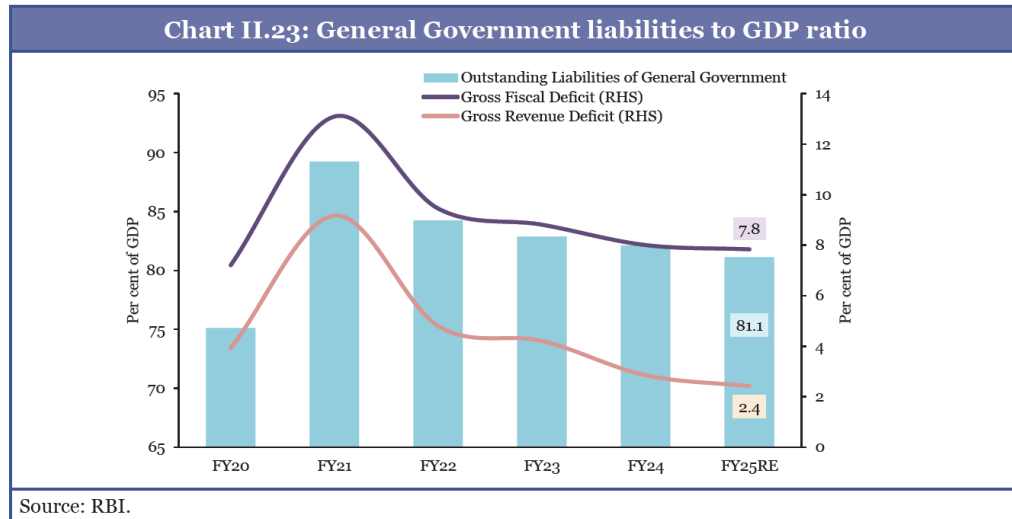
- Considered a more reliable measure of the government's fiscal performance, as it captures the cumulative effect of past and current fiscal decisions.
- **Low Cost of Borrowing and Strategic Issuance**
  - Marketable securities, including dated securities and treasury bills, form the bulk of government liabilities.
  - In **primary auctions for Government securities**, nearly half of the issuances (about 47 per cent of total issuances) were concentrated in bonds maturing **beyond 10 years**.
  - The **weighted average maturity (WAM)** of borrowings stood at about 19.14 years in FY26 so far, compared with 20.66 years in FY25.
  - In January 2026, the **sovereign bond yield curve** had a steeper profile, marked by a jump in yields in the medium to longer maturities, while short-term rates fell in response to the policy rate cuts similar to the scenario in January 2020.

Despite volatile global conditions, the weighted average yield on new government securities declined from **7.14 per cent in Q1 FY25** to **6.48 per cent in Q1 FY26**.



- **Rollover, interest rate, and foreign currency risks** have been effectively contained through a prudent debt management strategy.
  - **Rollover risk:** The risk that when old debt matures, the government may have to refinance it at a bad time or may struggle to raise fresh funds easily. Rollover risk has been reduced by consciously elongating maturities, supported by **switch** and **buyback** operations.
    - Weighted average maturity of fresh issuances - 19 years and of Outstanding dated securities rising to **13.66 years** in FY25.
  - **Interest rate risk:** The risk that if market interest rates rise, the government will have to borrow at higher rates, raising its debt-servicing cost. It has been limited by maintaining a predominantly **fixed-rate debt profile**.
  - **Foreign currency risk:** the risk that if debt is borrowed in foreign currencies, and the domestic currency depreciates, repayment becomes more expensive in domestic currency terms.
    - It remains low due to the country's **reliance on domestic currency borrowing**, with external debt accounting for a small share of liabilities, largely sourced from **multilateral institutions on long-term, concessional terms**.
- **States' Debt:**

- The **debt-to-GDP ratio** is **28.1** and the interest payments-to-revenue receipts ratio is approximately **12.6** for FY25(PA), there exists considerable variation on both fronts across States.
- Secondary market trading continues to reflect state-specific preferences rather than meaningful risk-based price differentiation.
- Borrowing costs do not sufficiently reward fiscally stronger States or penalise weaker ones.
- **General Government Finances:**



- A prudent, growth-friendly fiscal consolidation is achievable under challenging global conditions
- **Fiscal Response Function:** examines how the government's primary balance responds to the level of public debt, usually measured as the debt-to-GDP ratio, in **order to assess fiscal sustainability**.
  - Primary balance is the fiscal balance excluding interest payments, showing the government's current fiscal position net of the burden of past debt.



## CHAPTER 3: MONETARY MANAGEMENT AND FINANCIAL INTERMEDIATION: REFINING THE REGULATORY TOUCH

### GLOBAL FINANCIAL MARKETS - UNCERTAINTY AND OTHER EMERGING RISKS

- **Global policy uncertainty** increased, prompting investors to reduce their exposure to the US Dollar (USD) and seek safe-haven assets, such as **gold**.
- Prolonged uncertainty can increase the possibility of **sharper market corrections** across asset classes.
- The **IMF's Financial Stability Report (FSR)**, notes that there is a higher likelihood of herding behaviour in financial markets, as global investors and global financial markets grapple with the impact introduced by new technologies such as **artificial intelligence (AI)**.
- **Technology stocks** pose an emerging risk of inflated valuations, with **AI-related stocks** accounting for **75 per cent of S&P 500 returns, 80 per cent of earnings growth, and 90 per cent of capital spending growth**.
- **Digital assets** such as the **Stablecoin** are gaining traction and playing a larger role in financial intermediation. Total market capitalization of stablecoins marked a **49.6 per cent increase** this year.

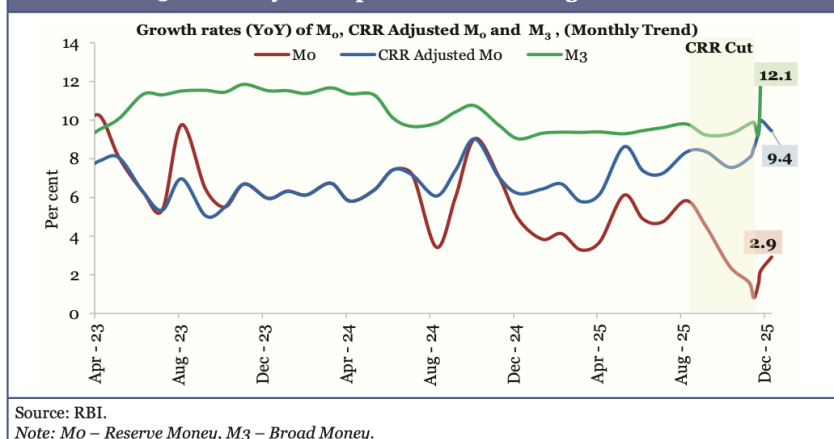
### Modelling uncertainty

1. Using media coverage to track the **frequency of specific keywords** related to uncertainty. The **Economic Policy Uncertainty (EPU) index** by **Baker and Bloom** uses a news-based method. It counts the **frequency of newspaper articles** that simultaneously discuss the **economy, policy, and uncertainty**, and then converts that into an **index**.
2. A second category frames uncertainty based on **qualitative data from forecasters**.
3. A third category quantifies uncertainty as a **residual, unobserved variable that varies over time**.

### MONETARY DEVELOPMENTS

- RBI's **Monetary Policy Committee (MPC)** cumulatively reduced the repo rate by 100 basis points during its meetings from April to December 2025.
- Policy Repo Rate: 5.25% in March 2026.
- The **MPC's stance** was changed from **accommodative** to **neutral** in June 2025. This neutral stance has been **consistently maintained** since then.
- The RBI also announced a **100-bps reduction** in the **cash reserve ratio (CRR)** to 3.0 per cent of net demand and time liabilities.
- $M0 = \text{Reserve Money} = \text{Currency in circulation} + \text{Bankers' deposits with RBI} + \text{'Other deposits' with the RBI}$
- Decrease in CRR results in decrease in  $M0$ .
- The CRR-adjusted  $M0$  reflects the true expansionary stance of monetary policy.

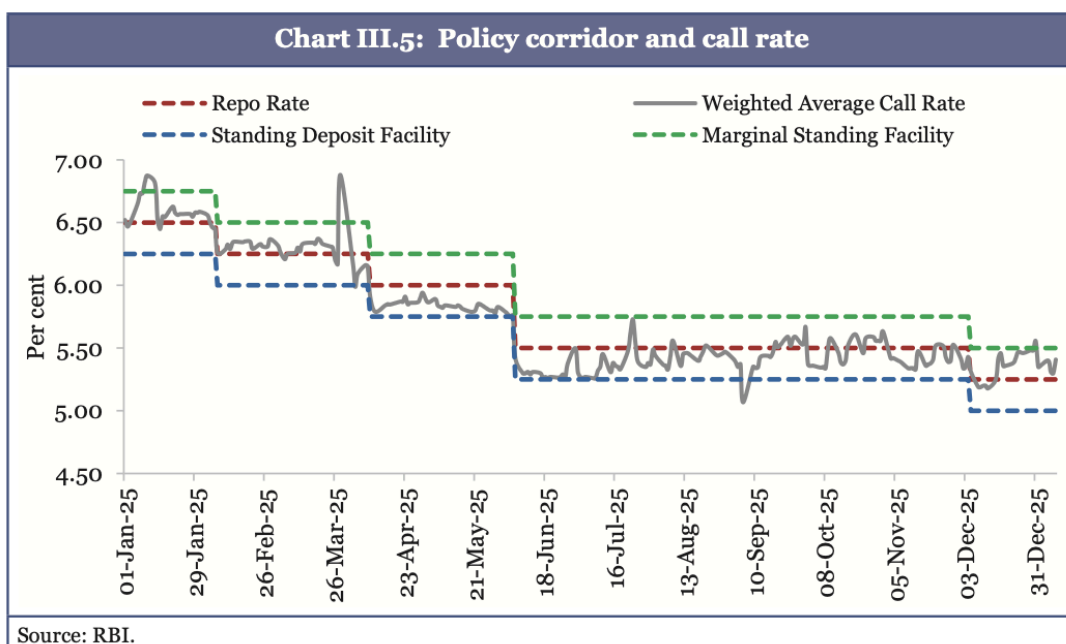
Chart III.3: Monetary developments reflect easing financial conditions



### Liquidity Conditions

- RBI also injected durable liquidity of ₹2.39 lakh crore through Open Market Operations (OMO).

- The RBI conducted OMO purchases of ₹1 lakh crore and a 3-year **USD/INR buy-sell swap** of USD 5 billion in December to inject durable liquidity into the system. In this RBI temporarily takes dollars from banks and gives them rupees, then reverses the deal later.
- RBI measures this through **net position under the Liquidity Adjustment Facility (LAF)**:
  - If banks are placing more money with RBI than borrowing from it, liquidity is in surplus
  - If banks are borrowing more from RBI, liquidity is in deficit
- So, **net LAF** is basically an indicator of **daily liquidity conditions** in the banking system.
- Reflecting surplus liquidity conditions, banks' recourse to the marginal standing facility (MSF) declined while their deployment of surplus funds under the SDF increased.
- The **weighted average call rate**, which serves as the operating target of monetary policy, generally remained below the **policy repo rate** during FY26, averaging **8 basis points** below it.
  - The **weighted average call rate (WACR)** is the actual overnight interest rate at which banks borrow and lend funds among themselves in the call money market. It is called the **operating target of monetary policy** because RBI does not directly control every market interest rate every day. Instead, RBI uses its liquidity tools so that the actual overnight market rate, that is WACR, stays close to the policy repo rate.



- **Monetary policy transmission** to lending and deposit rates of scheduled commercial banks (SCBs) has been robust amid surplus liquidity conditions.

## FINANCIAL INTERMEDIATION

- Financial intermediation in the Indian economy is carried out by a diverse set of institutions, including **banks, non-banking financial companies (NBFCs), microfinance institutions (MFIs), capital markets, and digital fintech platforms.**

## Performance of the banking sector

Chart III.6: Trends in GNPA of SCBs and CRAR

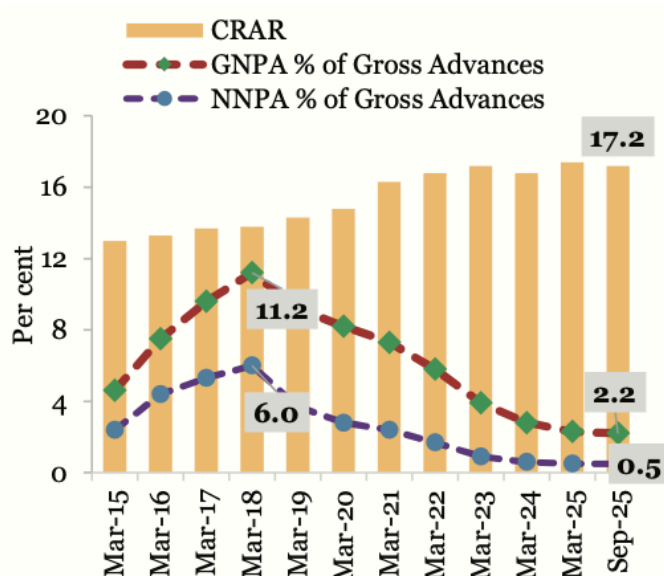
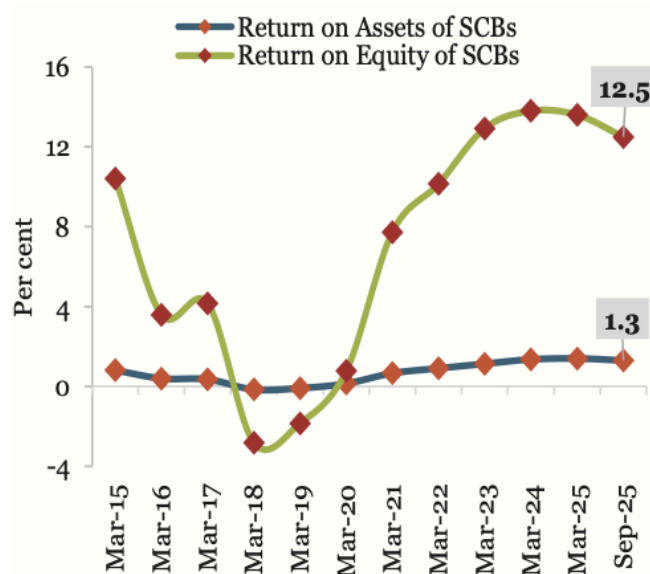


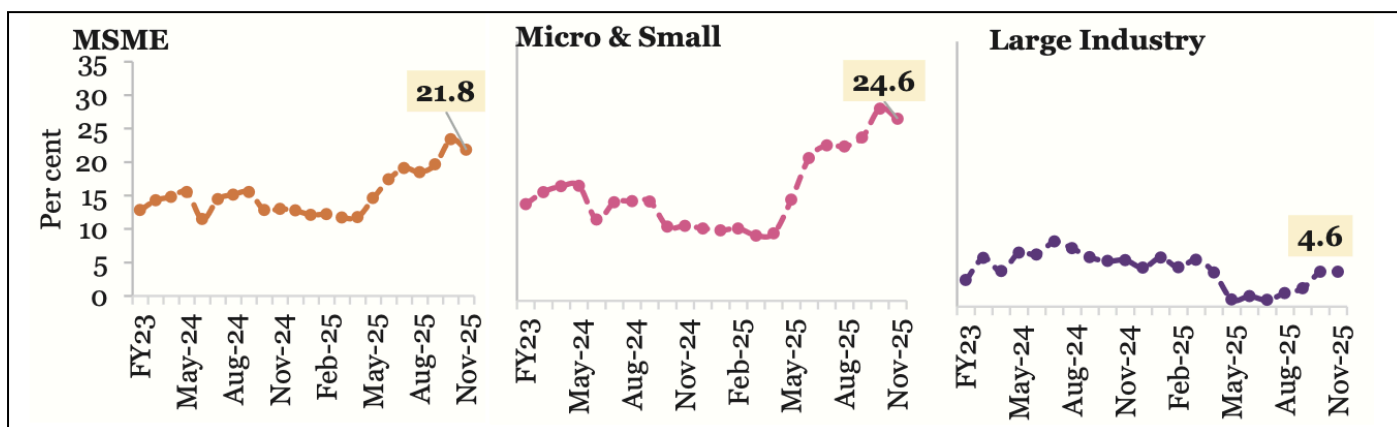
Chart III.7: Improvement in performance indicators of SCBs



Source: RBI Financial Stability Report, various issues.

- A significant improvement has been observed in the asset quality of SCBs, as evidenced by their **gross non-performing asset (GNPA) ratio and net NPA ratio**, having reached a multi-decadal low level and record low level, respectively.
- The capital-to-risk-weighted-asset ratio (CRAR) of the SCBs remained strong at 17.2 per cent as of September 2025.
- This improvement in asset quality has been observed across broad economic sectors as seen from the respective **GNPA ratios**:
  - **Industry**: decreased from 2.3 per cent in March 2025 to 1.9 per cent in September 2025.
  - **Services**: decreased from 2.0 per cent to 1.8 per cent.
  - **Personal loans**: decreased from 1.2 per cent to 1.1 per cent.
- **GNPA ratio** for the agriculture sector: Relatively higher at 6.0 per cent in September 2025 and has improved marginally from 6.1 per cent in March 2025. The share of this sector in **total GNPA** has increased from **34.6 per cent to 36.3 per cent** over the same period.
- The **recovery rate in NPAs** in SCBs has approximately **doubled** from FY18 to FY25. The **slippage ratio of SCBs**, which measures the **amount of new accretion to NPAs** during the FY as a percentage of standard loans and advances as at the beginning of FY, has also improved.
- The recovery rate through the **Insolvency and Bankruptcy Code, 2016** and the **SARFESI** has improved.
- In terms of sectoral deployment of **non-food credit**, the highest YoY growth has been observed in **personal loans**. A significant factor contributing to this growth is a substantial **rise in loans against gold jewellery**, likely due to the **increasing prices of gold**.
- The **bank credit to the MSME sector** continues to show momentum and remains robust, increasing by **21.8 per cent** in November 2025, compared to a **13 per cent increase** in November 2024.
  - **Revised guidelines** on **voluntary pledge of gold and silver jewellery** as collateral for small business loans, have helped in **improving credit flow** to the MSME segment.

- RBI has made the **gold/silver loan framework** more **uniform** and borrower friendly. It has clarified that **voluntary pledging of gold/silver** by **agriculture** and **MSME borrowers** does not breach **collateral-free loan norms** within the eligible limit.
- Other measures taken towards this include introduction of **credit cards for micro-enterprises, revision in MSMEs classification**
- Within the overall flow of financial resources to the commercial sector, there has been an increase in the flow from non-bank sources.



- Within the **non-bank sources**, **foreign sources** have experienced a greater YoY increase as compared to the **domestic sources**.
  - The increase in foreign sources is driven primarily by a significant rise in **external commercial borrowings** by non-financial entities and **Foreign Direct Investment (FDI)** to India.
  - The increase in **domestic sources** is mainly attributable to a rise in the **corporate bond issuances** by non-financial entities.
- The **quicker transmission of monetary policy** has made **market-based financial instruments** a feasible source of funding for large corporations.
- **Reduction in the demand for bank credit** due to rise in profitability of large corporations, and internal resources becoming a vital source for business expansion.

### Performance of regional rural banks

- The government undertook various measures to optimise the resources and enhance the performance of the RRBs.
  - **Consolidation in four phases** based on the principle of **One-State-One-RRB** that reduced their number from **196 to 28 (May, 2025)**.
  - Integration of the **Core Banking Solution** and other **IT systems** of the amalgamated RRBs into unified platforms
  - A **common logo** has been adopted for all 28 RRBs.
- The financial health of the RRBs has improved in recent years.
  - **FY24:** achieved a record consolidated net profit of ₹7.6 thousand crore.
  - Second-highest consolidated net profit of ₹6.8 thousand crore during **FY25**.



- While the GNPA ratio for SCB in the agricultural sector remains relatively high, the asset quality of



RRBs has shown notable improvement.

- The **GNPA ratio** decreased to the **lowest level in the past 13 years**.
- **Credit-to-deposit ratio** rose to the highest level recorded in 35 years.
- **Consolidated CRAR** of all RRBs reached an all-time high of 14.4 per cent at the end of FY25.
- **RRBs** have consistently exceeded the **priority sector lending target of 75 per cent** of their adjusted net bank credit.

### Major policy actions in the banking sector

- The public sector banks (PSBs) have launched the **credit assessment model (CAM)** based on the digital footprints for MSMEs in 2025.
  - Will leverage **digitally fetched** and **verifiable data** to enable automated loan appraisal for MSMEs.
  - Utilising objective decisioning for all loan applications and
  - Model-based limit assessment for both existing-to-bank and new-to-bank MSME borrowers.
  - Integrates the credit guarantee schemes, such as the **Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)**.
- RBI has also initiated a significant **reorganisation of its regulatory instructions** by consolidating over 9,000 existing circulars and guidelines into **238 function-specific Master Directions**, tailored for **distinct categories of regulated entities**.
- The RBI has constituted a **regulatory review cell** to strengthen the institutional mechanism for review of regulations. An independent **Advisory Group on Regulation** comprising external experts has been established.

### RBI's FREE-AI Framework for Responsible AI

- RBI has also articulated **principle-based guidance for the use of AI** and introduced a **Free AI framework for responsible AI**, which is designed to foster financial innovation while ensuring robust risk management.
- It identifies **seven core guiding principles**, referred to as the '**Seven Sutras**', to ensure effective AI development, deployment, and governance within the financial sector. These are:
  - (i) Trust
  - (ii) People First
  - (iii) Innovation over restraint
  - (iv) Fairness and equity
  - (v) Accountability
  - (vi) Understandable by design
  - (vii) Safety, resilience and sustainability
- Under the **Innovation Enablement Framework**, the focus is on Infrastructure, Policy, and Capacity Building.
- The **Risk Mitigation Framework** focuses on Governance, Protection, and Assurance to create transparent governance structures, implement robust protective measures for privacy and security, and mandate ongoing monitoring and validation of AI systems to ensure reliability.

### Microfinance and financial inclusion

- Key channel for advancing grassroots development in the country: **95 per cent women borrowers and 80 per cent rural clientele**.
- The microfinance sector experienced a reversal in growth in FY25, with loan outstanding declining by 14 per cent on a YoY basis.



- To deal with **credit over-exposure** in the sector, RBI has provided **flexibility** by reducing the **minimum qualifying assets** mandated for microfinance from **75 per cent to 60 per cent** of total assets for NBFC-MFIs.

### Financial inclusion – trends and structural drivers

- To advance financial inclusion, the government has introduced several **targeted interventions**:
  - Pradhan Mantri Jan Dhan Yojana (PMJDY)
  - Stand-Up India Scheme
  - PM Street Vendor's Atmanirbhar Nidhi (PMSVANidhi) scheme
  - Pradhan Mantri Mudra Yojana (PMMY)
- **Pradhan Mantri Jan Dhan Yojana (PMJDY):**
  - Establishing foundational savings and transaction infrastructure for previously unbanked populations.
- **Stand-Up India Scheme**
  - Offers bank loans ranging from ₹10 lakh to ₹1 crore to SC, ST, and women entrepreneurs for establishing **greenfield enterprises**.
- **PM Street Vendor's Atmanirbhar Nidhi (PMSVANidhi) scheme:**
  - Provides collateral-free working capital loans to street vendors.
  - A clear progression through **loan cycles**: while **51.5 per cent** remain in the **first cycle**, **32.3 per cent** have advanced to the **second**, and **16.1 per cent** to the **third**, a marked shift from 2023, when almost all were first-cycle borrowers.
  - **Growth** also varied by cycle: **first-cycle** borrowers recorded 17 per cent income growth compared with **23 per cent** among **second-cycle borrowers** and **24 per cent** among **third-cycle borrowers**.
- **Pradhan Mantri Mudra Yojana (PMMY):**
  - With a Mandate to **'fund the unfunded'**, it finances micro and small enterprises in manufacturing, trading, services, and allied agricultural activities.
  - The scheme has a **tiered structure**: **Shishu** (up to ₹50,000), **Kishore** (₹50,000-₹5 lakh), and **Tarun** (₹5 lakh-₹10 lakh), enabling credit to grow in tandem with enterprise development.
  - Tarun Plus (₹10 lakh-₹20 lakh) was also introduced for repeat borrowers with strong repayment records.
  - The **compositional shift** of credit away from **Shishu** and towards **Kishore** and **Tarun** indicates a maturing borrower base.
- Both **PM Street Vendor's Atmanirbhar Nidhi (PMSVANidhi) scheme** and **Pradhan Mantri Mudra Yojana (PMMY)** demonstrate strong repayment performance: creditworthiness of segments that have been traditionally deemed unbankable.
- **RBI's Financial Inclusion (FI) Index**: Measures the country's progress in **achieving financial inclusion**.
  - It captures data on **97 indicators** related to banking, investments, insurance, postal, and pension sectors across **three dimensions**: **access, usage, and quality**.
  - The composite **FI-Index** value rose to **67.0 in March 2025** from **64.2 in March 2024**.

### Performance of the Insolvency and Bankruptcy Code

- IBC established a unified framework for resolving corporate distress in India, replacing the earlier fragmented regime of multiple statutes with overlapping jurisdictions.
- S&P Global Ratings upgraded India's insolvency regime from **'Group C'** to **'Group B'**.
  - **Average recovery rates** have improved from **15-20 per cent** under the **pre-IBC regime** to approximately **30 per cent**.

- The **resolution** timelines have reduced from **6-8 years to about 2 years**.
- Acknowledged the role of judicial reinforcement of creditor rights, which have contributed to greater predictability and discipline in the resolution process.
- Creditors recovered **94 per cent of the fair value** of resolved businesses, and **170 per cent of what they would have received through liquidation**.
- Study by IIM Bangalore documents a measurable **improvement in credit discipline** since IBC's enactment.
- **Issue of delay**: Code mandates **CIRP completion** within **330 days**, including extensions, **actual average** duration is **713 days** overall and **853 days** for cases closed in FY25.
- The **IBC Amendment Bill 2025** proposes a range of measures aimed at addressing procedural delays within the system. It also proposes a **framework for cross-border insolvency** proceedings.

### Development in the capital markets

- Reflecting the strength of India's financial ecosystem, the primary markets in FY26 (up to December 2025) remained resilient and vibrant, leading the world in **initial public offers (IPOs)** issuances.
- IPO volumes in FY26 (up to December 2025) were 20 per cent higher than FY25, and the amount mobilised was 10 per cent higher than the corresponding period of FY25.
- A notable feature of IPO activity in FY26 (up to December 2025) was the prominence of **Offer for Sale (OFS)** components.
  - **Offer for Sale (OFS)** is when existing shareholders sell their stakes rather than the company issuing new shares.
- The Listings on the **main board** rose from **69 to 94** and activity in the **Small and medium (SME) segment** also continued to exhibit a buoyant trend during FY26.
  - **Main Board**: The primary market for established companies meeting stricter regulatory and size thresholds. Key criteria on NSE main board for an IPO include:
    - Post-issue paid-up equity capital of at least ₹10 crore
    - Market capitalisation of at least ₹25 crore
    - At least 3 years' track record of the company/promoters
    - The company should have positive net worth in general, and no major insolvency/winding-up problems.
  - **Small and medium (SME)**: This is for smaller and emerging companies. Key SME criteria on NSE Emerge include:
    - Company is eligible for SME platform if its post-issue face value capital is up to ₹25 crore
    - It should have operating profit (**EBITDA**) of at least ₹1 crore from operations in any 2 of the last 3 financial years
    - Positive net worth
    - Positive FCFE in at least 2 of the last 3 years.
  - There is also a **tighter rule on Offer for Sale (OFS)** in SME IPOs:
    - OFS cannot exceed 20% of total issue size
    - Selling shareholders cannot sell more than 50% of their holding in the SME IPO.
  - Around 350 companies have migrated from SME to the mainboard platform.

### Securities Markets Code, 2025

- It repeals and replaces the **Securities Contracts (Regulation) Act, 1956**, the **SEBI Act, 1992**, and the **Depositories Act, 1996**, thereby consolidating the fragmented laws governing India's securities markets. The reforms include:

#### (1) Mechanisms for the delivery of services

- **Rule-Making**:
  - The SMC seeks to make rulemaking **transparent, consultative, and accountable**.

- Regulations must undergo **public consultation**
- **Governing Board** that must include up to six independent members, can alone frame regulations.
- The governance framework also extends to **Market Infrastructure Institutions (MIIs)**'s bylaws, and also requires **public consultation**.
- **Adjudication:**
  - Caps the validity of interim orders at 180 days. Conditional extension with maximum limit of 2 years.
- **Executive Action:**
  - Unified registration and licensing framework
  - Investigations and inspections need written orders
  - No inspection or investigation may begin more than eight years after a contravention

## (2) Regulatory Governance

- **Board Composition:**
  - 15 Members with at least five full-time members.
  - At least three members are required to have experience in securities markets.
- **Independence:**
  - Code safeguards SEBI's autonomy
  - Preserves financial and staffing independence and codifies institutional safeguards
  - Post-employment cooling periods
- **Accountability:**
  - **SEBI** must make its regulations governing meetings of the Governing Board public and disclose the decisions of its board.
  - **SEBI** is required to periodically review the proportionality and effectiveness of its regulations

## (3) Market Infrastructure Institutions

- Clear statutory footing, formally recognising MIIs, stock exchanges, clearing corporations, depositories, and others as entities performing vital public functions.
- Permits SEBI to delegate regulatory powers, such as intermediary registration, to MIIs.
- Elevates MII's role from operational to quasi-regulatory.

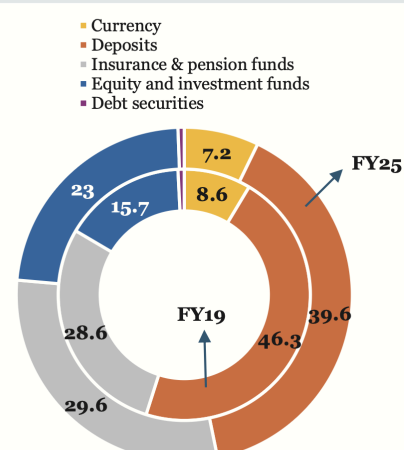
## Broadening retail participation in capital markets

- Domestic retail participation has witnessed an unprecedented surge.
- **SEBI's Investor Survey 2025:** Nearly **63 per cent** of the households surveyed are aware of at least one securities market product.

## Evolving patterns of household financial savings in India

- Equity investments have increasingly become a significant component of financial wealth.
- Development of debt-linked instrument markets is a logical next step towards achieving balanced, diversified portfolios and meeting long-term financial goals.
- Share of deposits declined from over 58 per cent in FY12 to around 35 per cent in FY25.
- RBI: The share of equity and investment funds in total household financial assets increased from **15.7 per cent in March 2019 to 23 per cent by March 2025**.
- Assets managed through mutual funds rose steadily relative to the size of the economy, increasing from <10 per cent of GDP in the early 2010s to ~23 per cent by FY26 (as of November 2025).

Chart III.16: Composition of financial assets in FY19 vs FY25



- Over the past five years, cumulative inflows by domestic investors into the equity markets have been substantially higher than from foreign investors.
- Debt, specifically market-based debt instruments, has not kept pace with the significant reorientation of household savings towards equities.
- Retail engagement with corporate bonds and debt-oriented investment products remains limited, resulting in debt securities comprising a small portion of household financial assets.
- There is a need to develop deep debt markets in India. Developing a deep debt capital market requires market participants-issuers, investors, arrangers, and rating agencies.
- A well-functioning debt market would reduce capital costs, mobilise savings efficiently, and offer households reliable income-generating products.

### SEBI's recent initiatives: Advancing regulatory excellence, market growth, and investor protection

- **Investor protection and empowerment:**
  - New UPI address structure for all SEBI-registered intermediaries that collect funds from investors.
  - **'SEBI Check'**: Introduced to enable verification and enhance the safety and accessibility of investor payment.
  - Joint media campaign titled **'SEBI vs SCAM'** - identifying red flags, raising awareness about verification protocols, trusted redressal mechanisms, and good digital practices.
  - A nationwide **training initiative for block-level Panchayat representatives** was launched in collaboration with the Ministry of Panchayati Raj (MoPR).
  - All digital platforms of regulated entities to comply with the provisions of the **Rights of Persons with Disabilities Act, 2016**.
- **Strengthening the bond market and expanding access:**
  - New framework for **ESG Debt Securities**.
  - Outreach programmes on Municipal Bonds and Municipal Finance
  - **Credit rating agencies** were advised to extend the **EL(Expected Loss)-based rating** scale for rating municipal bonds issued to finance infrastructure assets, in addition to the standardised rating scale.
    - Instead of looking only at the chance of default, **EL based ratings** also look at the **loss expected after recovery**, in case of a default.
  - Securitised debt instruments (SDI), SEBI aligned the guidelines for the issue and listing of SDIs with the RBI guidelines on Securitisation of Standard Assets.
- **Strengthening the regulatory framework and improving operational efficiency**
  - Requirement of obtaining a **specific SEBI approval** was removed to facilitate SEBI registered stock brokers to undertake market related activities in GIFT-IFSC
  - strengthening governance and review processes: Mandatory **minimum information** standards to be followed and provided to the audit committee for **related party transactions**.
  - SEBI also streamlined requirements pertaining to the minimum contribution from sponsors and sponsor groups in the public issue of units for the **conversion of a private listed Infrastructure Investment Trust (InvIT) into a public InvIT**.
  - Registered intermediaries were permitted to use the **'e-KYC Setu System'** of the **National Payments Corporation of India** as an alternative to **Aadhaar-based e-KYC** authentication.
- **Fostering market development and improving product depth**
  - SEBI introduced a **Past Risk and Return Verification Agency** for risk-return performance verification.
  - **Electricity derivatives**, starting with monthly futures trading at NSE, were launched.
  - **Electricity Regulatory Commission** adopted a robust, consultative, and data-driven



approach to ensure that these derivatives function as **hedging instruments rather than vehicles for undue speculation**

- **Measures to strengthen equity derivatives markets**

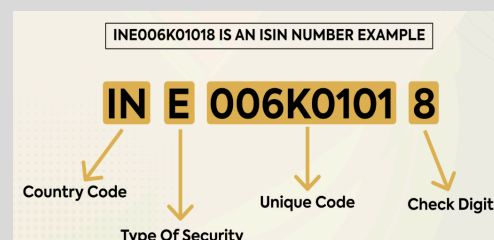
- Exchanges were directed to select either **Tuesday** or **Thursday** as the expiry day for equity derivatives.
- New methodology for calculating **open interest as future equivalent open interest** at a portfolio level using delta adjustments, recalibrating the market-wide position limit for single stocks, defining new eligibility criteria for derivatives on non-benchmark indices.
- Recalibrating **entity-level position limits** based on the **revised market-wide position limit** definition.

### Debt Market

- India's corporate bond market has demonstrated impressive growth. In FY25, it reached its **highest-ever fresh issuances**.
- Private placements, which **accounted for more than 99 per cent of total resources mobilised** through the bond market, remained the preferred mode.
- India's debt market is **skewed towards highly rated borrowers (AAA or AA-rated)**, which accounts for 85-90 per cent of bond issuances.
- The secondary market remains shallow, with India's annual bond turnover ratio in secondary markets at 0.3, lower than that of Indonesia (1.17) and China (1.16).
  - A higher ratio implies more active trading and higher transaction costs, while a **lower ratio signifies a "buy-and-hold" strategy**.
- **The principal investor base consists of banks, insurance companies, pension funds, mutual funds, and NBFCs.**

#### Do you know:

- An ISIN (International Securities Identification Number) is a unique, 12-character alphanumeric code that is used to **identify securities and financial instruments globally**



- **Reforms for the development of the bond market.**
  - **SEBI** introduced the **Request for Quote platform**, facilitating retail access, strengthening governance standards for credit rating agencies, and simplifying issuance norms.
  - The **RBI** has enhanced settlement architecture through **tri-party repo and credit default swap guidelines**.
- Promotion of InvIT and Real Estate Investment Trusts
  - **InvITs** invest in **infrastructure assets** such as roads, highways, power transmission lines, pipelines, and telecom towers.
  - **REITs** invest in **real estate assets** such as office buildings, malls, warehouses, and commercial property.

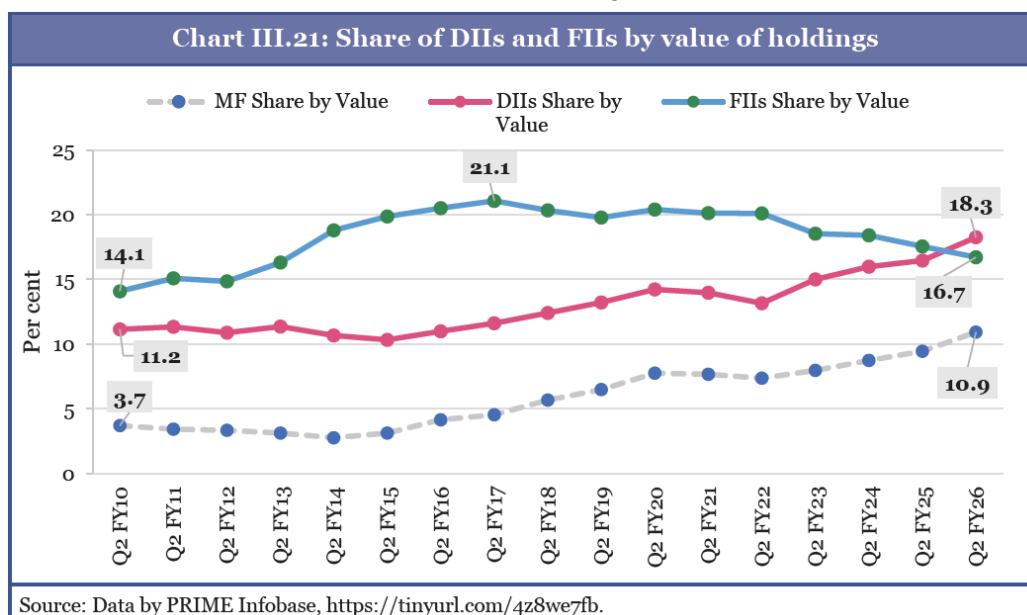
### Foreign Portfolio Investment

- India's Foreign Portfolio Investment (FPI) trends in FY26 exhibit volatility.
- They transitioned from being net buyers of equities to net sellers, while being net buyers of debt instruments
- SEBI's relaxation of FPI investment norms.



**Domestic Institutional Investors: Counterbalancing FIIs**

- The share of DIIs (by value of holdings) surpassed that of foreign institutional investors (FII) for the first time in Q4 FY25 and has now reached an all-time high in Q2 FY26.

**GIFT City**

| Financial operations in GIFT City                                                                                     | Achievements                                                                                                                                                                     |
|-----------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <br>Banking and credit operations  | 38 IFSC Banking Units with USD 100+ billion assets; USD 142.98 billion cumulative transactions. <sup>80</sup>                                                                    |
| <br>Capital markets and debt       | Monthly turnover USD 88+ billion; cumulative derivatives trades USD 1,351 billion; debt listings USD 66+ billion, including USD 15+ billion ESG securities.                      |
| <br>Specialised financial services | 33 aircraft lessors (303 aviation assets) and 34 ship lessors (28 vessels) address India's leased fleet dependency.                                                              |
| <br>Bullion trading                | The India International Bullion Exchange has been operational since July 2022, with 185 qualified jewellers and a vault capacity of 151 tonnes of gold and 930 tonnes of silver. |
| <br>Fund management and Insurance  | 194 Fund Management Entities managing 310 schemes; USD 26.30 billion commitments; 52 insurance entities registered.                                                              |

- India International Bullion Exchange (IIBX)

- It is India's **international bullion trading exchange** set up at **GIFT IFSC, Gujarat**, mainly for trading **gold and silver** in an organised exchange-based system.
- It is regulated by **IFSCA**.
- **Bullion on IIBX is traded through Bullion Depository Receipts (BDRs). The bullion is stored in authorised vaults, and the BDR represents that bullion electronically.**
- Qualified Jewellers are allowed to buy BDRs on IIBX for importing bullion
- **Two Australian universities** have established operational International Branch Campuses in GIFT IFSC.
- **Two UK universities** have received in-principle approvals to establish similar campuses
- **Sri Lanka's DFCC Bank listed Sri Lankan Rupee 2.5 billion in green bonds** on the NSE International Exchange the first listing by a foreign corporation on a GIFT IFSC exchange
- The **Foreign Currency Settlement System (FCSS)**, launched in October 2025, enables the local settlement of foreign-currency transactions between IFSC banking units without routing them through overseas correspondent banks.
  - The FCSS operates on a **real-time or near-real-time basis**

### Performance of the pensions sector

#### Unified Pension Scheme (UPS)

Launched in 2024 to address the limitations of the National Pension System (NPS) while avoiding the fiscal burden of the Old Pension Scheme (OPS).

- **Nature:** A **hybrid model** (combines "Defined Benefit" of OPS and "Defined Contribution" of NPS).
- **Key Features:**
  - **Assured Pension:** 50% of the average basic pay drawn over the last 12 months before retirement (for a minimum 25 years of service).
  - **Assured Minimum Pension:** ₹10,000 per month for those with at least 10 years of service.
  - **Assured Family Pension:** 60% of the retiree's pension goes to the spouse after the retiree's death.
  - **Inflation Indexation:** Includes **Dearness Relief (DR)** based on the All India Consumer Price Index for Industrial Workers (AICPI-IW).
  - **Funding:** Contributory. Employee contributes **10%** of basic pay + DA; the Government contributes **18.5%** (up from 14% in NPS).
  - **Lump-sum Payment:** In addition to gratuity, 1/10th of monthly emoluments (pay + DA) for every 6 months of service.

#### NPS Vatsalya

Announced in the Union Budget 2024-25 as a sub-scheme under the National Pension System (NPS).

- **Objective:** To encourage long-term savings for children (minors) to build a retirement corpus early.
- **Eligibility:** **All minor citizens of India (under 18 years).**
- **Key Features:**
  - **Operation:** Opened by parents/guardians in the name of the minor.
  - **Contribution:** Minimum ₹1,000 per year; no maximum limit.
  - **Transition:** Once the child turns 18, the account seamlessly converts into a **regular NPS (Tier-I)** account.
  - **Investment Choice:** Guardians can choose between *Auto Choice* (lifecycle-based) or *Active Choice* (where they decide the equity/debt split, up to 75% equity).
  - **Partial Withdrawal:** Up to 25% of the contribution after 3 years for specific purposes like education or illness.

#### Atal Pension Yojana (APY)

**Context:** Launched in 2015 to provide old-age income security primarily for the **unorganised sector**.

- **Nature:** A **defined benefit** scheme with a government guarantee.
- **Key Features:**
  - **Eligibility:** Indian citizens aged **18 to 40 years**.
  - **Exclusion:** Since Oct 1, 2022, **Income Tax payers** are not eligible to join.
  - **Pension Slabs:** Fixed monthly pension of **₹1,000, ₹2,000, ₹3,000, ₹4,000, or ₹5,000** after age 60.
  - **Spouse Benefit:** After the subscriber's death, the spouse gets the *same* pension amount.
  - **Nominee Benefit:** After the death of both, the accumulated corpus is returned to the nominee.
  - **Regulator:** Administered by the **PFRDA**

### NPS e-Shramik

- The **NPS e-Shramik (Platform Service Partner) Model** is a specialized retirement solution launched by the **PFRDA** on October 29, 2025.
- It specifically targets **gig workers** and **platform service partners** (e.g., those working with Zomato, Swiggy, Ola, Uber, etc.), integrating them into the formal social security net

### Performance of the Insurance Sector

- Structural shifts are evident in the 'non-life' insurance segment, where health insurance, accounting for 41 per cent of the gross domestic premium, has overtaken motor insurance as the leading business line.
- The **exemption in GST on life insurance and individual health insurance policies** has provided substantial relief to policyholders and made insurance services more affordable in these two critical lines

### Sabka Bima Sabki Raskha (Amendment of Insurance Laws)

- **Increased FDI limit:** The amendment has raised the FDI limit in Indian insurance companies **from 74 per cent to 100 per cent**.
- **One-time registration** of insurance intermediaries has been provided.
- The requirement of **Net Owned Funds for foreign reinsurers** has been reduced from **₹5,000 crores to ₹1,000 crores** to facilitate the entry of more reinsurers
- Provides for the creation of a **Policyholders' Education and Protection Fund**
- IRDAI has been granted the **power of disgorgement of wrongful gains** made by an insurer or intermediary.
  - The **maximum penalty limit** for insurers who default in complying with or acting in contravention of the Insurance Act or the IRDAI Act has **been increased from ₹1 Crore to ₹10 Crore**
- **Alignment with the Digital Personal Data Protection Act 2023:** for effective use of digital public infrastructure in the insurance sector

**For creating a universal social security system for all Indians, especially the underprivileged, two social security schemes in the insurance sector are in place:**

- **Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)**
  - **Focus:** Universal Life Insurance cover for death due to **any reason** (natural or accidental).
  - **Eligibility:** Individuals aged **18 to 50 years** with a savings account at a bank or post office. (Coverage continues up to age 55 if enrolled before 50).
  - **Premium:** **₹436 per annum** (Effective from June 1, 2022). It is auto-debited annually from the bank account.
  - **Risk Cover:** **₹2 Lakh** payable to the nominee on the death of the subscriber.

- **Pradhan Mantri Suraksha Bima Yojana (PMSBY)**

- **Focus:** Personal Accident Insurance cover for death or disability caused by an **accident**.
- **Eligibility:** Individuals aged **18 to 70 years** with a savings account at a bank or post office.
- **Premium:** ₹20 per annum (Revised from ₹12 in 2022).
- **Benefits:**
  - **Accidental Death:** ₹2 Lakh.
  - **Total & Irrecoverable Disability:** ₹2 Lakh (loss of both eyes, both hands, or both feet).
  - **Partial & Irrecoverable Disability:** ₹1 Lakh (loss of one eye, one hand, or one foot).
- **Exclusions:** Does **not** cover natural death or suicide. It does cover murder and deaths due to natural calamities (like floods/earthquakes).

#### Structural Challenges: High operating costs

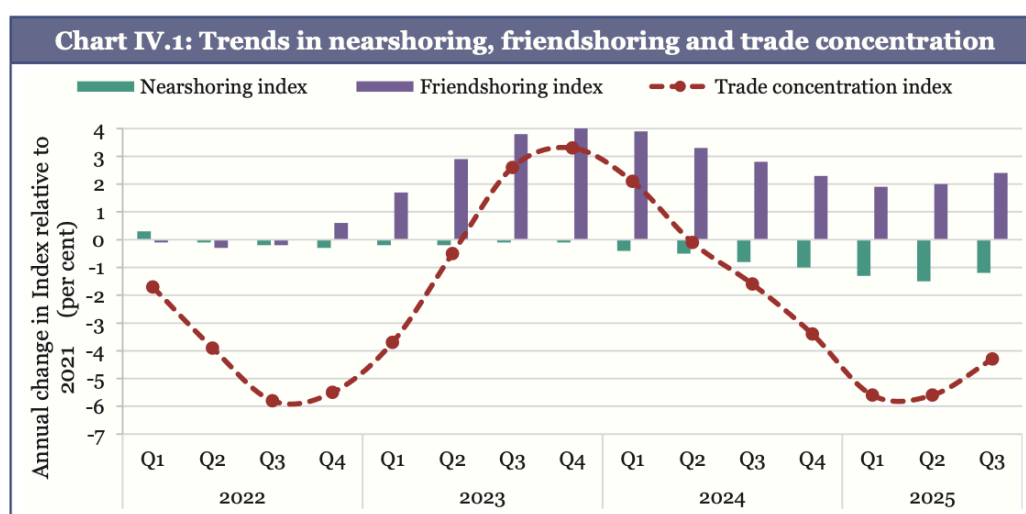
- While **insurance density** has risen steadily to USD 97 in FY25, reflecting higher spending by households already integrated into the financial system, **insurance penetration** has stagnated and declined to 3.7 per cent.
  - **Insurance density** measures the average insurance premium per person (per capita premium) in a country
    - **Formula: Total Insurance Premium/Total Population**
  - **Insurance penetration** measures the percentage of total insurance premiums to a country's Gross Domestic Product (GDP).
    - **Formula: (Total Premium in a year / GDP)\*100**

The systemic rise in regulatory quality has received international validation through the **Financial Sector Assessment Program (FSAP)** conducted jointly by the **IMF and World Bank in 2025**

## CHAPTER 4: EXTERNAL SECTOR: PLAYING THE LONG GAME

- The **Trade Policy Uncertainty (TPU) Index** and the **Global Economic Policy Uncertainty (GEPU) Index** peaked in April 2025.
  - Global Economic Policy Uncertainty (GEPU) Index is published under the **Economic Policy Uncertainty (EPU)** project of Baker, Bloom and Davis.
  - TPU series is developed by Dario Caldara, Matteo Iacoviello, Patrick Molligo, Andrea Prestipino, and Andrea Raffo

## GLOBAL TRADE DYNAMICS

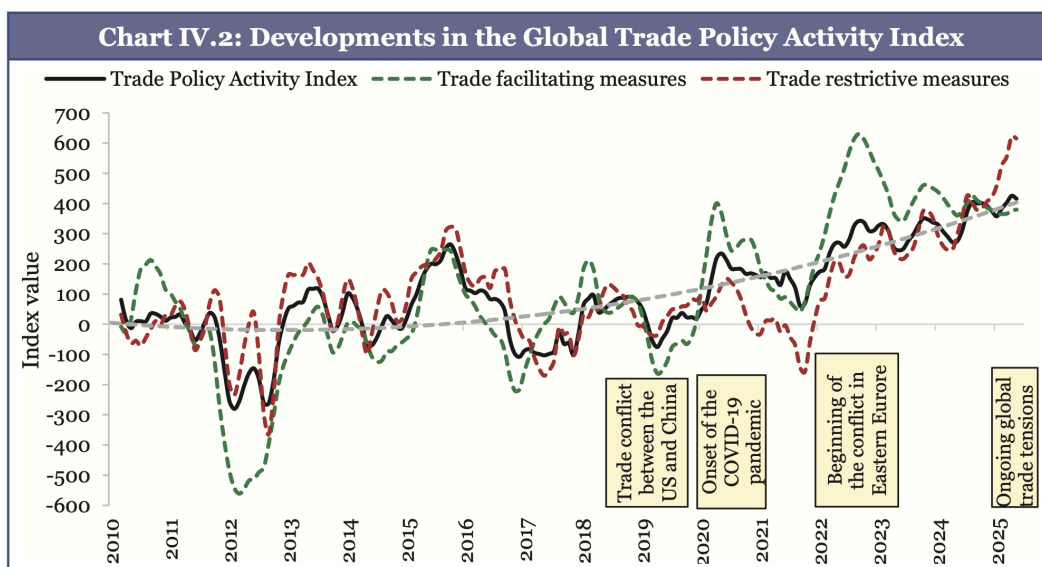


- **Friend-shoring** involves increased trading with economies with politically aligned stances, and the **Friendshoring Index** is calculated as trade-weighted political proximity as measured by the United Nations' voting patterns.
- **Nearshoring** measures the geographic proximity of trade relationships and shows whether countries are sourcing from nearby partners or distant ones. **Nearshoring Index** is calculated as the reverse of the trade-weighted average distance in km.
- **Trade Concentration** describes how much of the global trade is concentrated in a small set of countries, and its index is calculated based on the **Herfindahl concentration index**.

## Global trade performance in 2025

- **Global Trade Policy Activity (GTPA) Index** which remained relatively stable from CY 2010 to CY 2020, but has experienced a significant increase since then.
  - The **GTPA Index**, developed by economists from the **WTO and the IMF**, draws insights from a wide range of information on trade policy measures.
  - Using a **Dynamic Factor Model**, the index captures the dynamics of global trade policy.
  - The index captures **fluctuations in the trade policy**, including structural shifts and short-term changes associated with specific events.

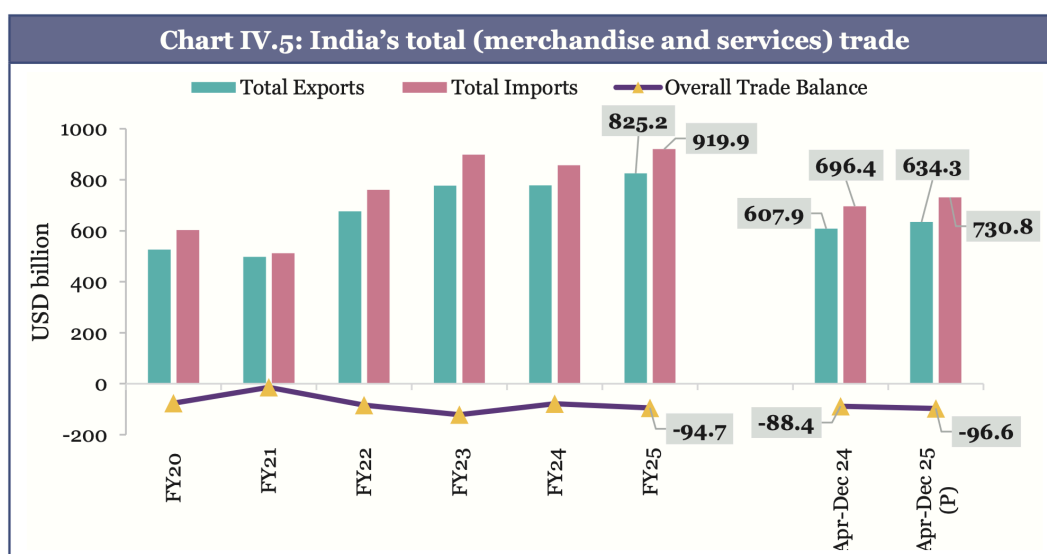




- The frontloading of trade orders in anticipation of higher tariffs has led to a significant increase in trade in CY 2025.
- **IMF's World Economic Outlook** (October 2025), projected that global trade volume (goods & services) will grow at an average rate of 3.6 per cent during CY 2025 and then decrease to 2.3 per cent in CY 2026, which is markedly lower than the 3.5 per cent growth recorded in CY 2024.

### TRENDS IN INDIA'S TRADE PERFORMANCE

- India's share of global merchandise exports has nearly doubled rising from 1 per cent to 1.8 per cent. Similarly, its share in global commercial services exports has **more than doubled**, rising from **2 per cent to 4.3 per cent**.
- According to **UNCTAD's Trade and Development Report 2025**, India ranks third among countries in the Global South in terms of the **diversity index** of trade partnerships, following **China** and the **UAE**. India's **index score of 3.2** exceeds that of **all countries in the Global North**.

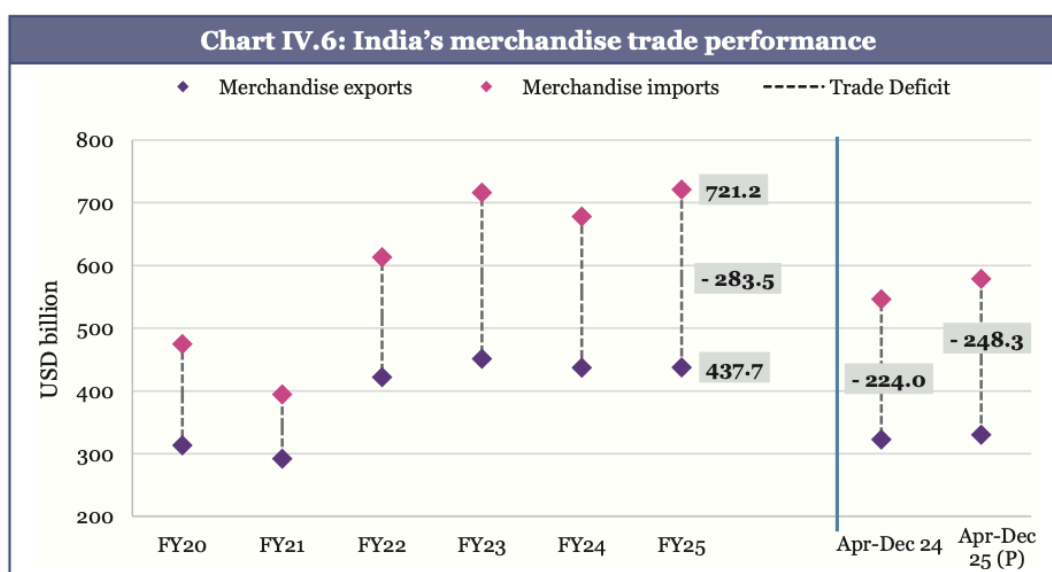


- **Merchandise trade diversity indicator**, India ranks fourth in the Global South, following Thailand, China and Turkey, with an index score of 0.88.
- The total exports in **FY25** amounted to USD 825.3 billion, registering a **6.1 per cent** (YoY) growth, the highest levels of exports ever recorded-
  - **Services exports** experienced a 13.6 per cent (YoY) increase.
  - **Total imports** also increased by 7.4 per cent (YoY)

- **Total trade deficit** amounted to USD 94.7 billion
- Surplus in **services trade** cushioned the merchandise trade deficit.
- **This strong momentum has been carried forward into FY26:**
  - **Q1, Q2 and Q3** recorded their highest-ever export levels.
  - **April-December 2025**, exports totalled USD 634.3 billion, a 4.3 per cent (YoY) increase
  - Whereas **imports increased** by 4.9 per cent (YoY) to USD 730.8 billion.
  - During the same period, the **trade deficit increased** to USD 96.6 billion compared to USD 88.4 billion in the corresponding period of the previous year.

### Merchandise trade

- In FY25, India's **total merchandise exports** were USD 437.7 billion, almost similar to FY24, but this **headline stagnation** was mainly due to the drag from **petroleum products and gems and jewellery**.
- In contrast, **non-petroleum, non-gems and jewellery exports** grew by 7.5% YoY and accounted for 78.7% of total exports, while non-petroleum exports reached a historic high of USD 374.3 billion.



### Top 5 Merchandise Exports in FY25

| Rank | Commodity Category                      | Share in Total Exports (%) | YoY Growth in FY25 (%) |
|------|-----------------------------------------|----------------------------|------------------------|
| 1    | Crude & Petroleum Products (incl. coal) | 15.3                       | -23.5                  |
| 2    | Machinery & Instruments                 | 9.8                        | 10.0                   |
| 3    | Electronic Goods                        | 8.3                        | 31.5                   |
| 4    | Transport Equipments                    | 7.3                        | 21.5                   |
| 5    | Gems & Jewellery                        | 6.8                        | -8.8                   |

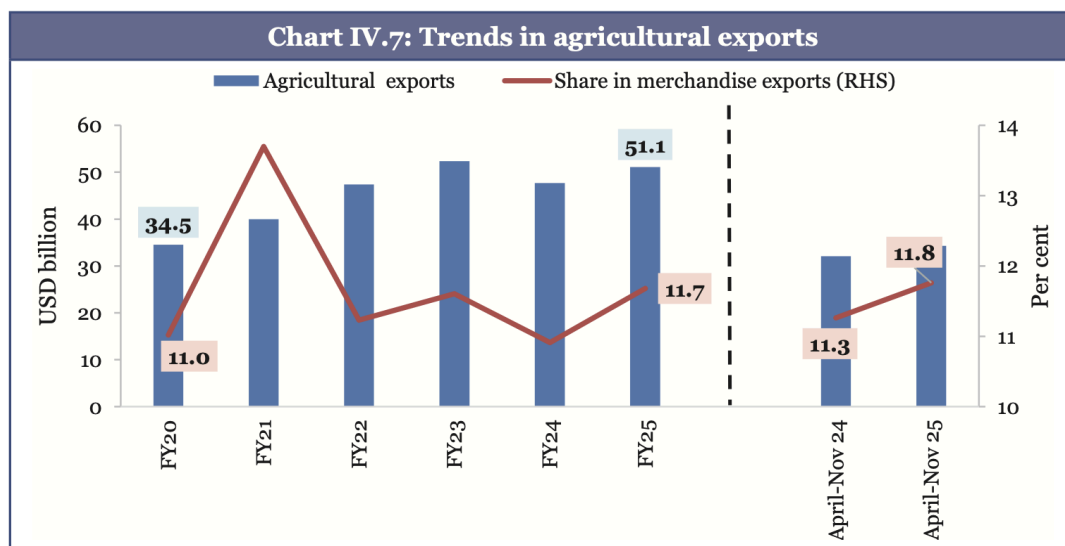
### Top 5 Merchandise Imports in FY25

| Rank | Commodity Category                  | Share in Total Imports (%) | YoY Growth in FY25 (%) |
|------|-------------------------------------|----------------------------|------------------------|
| 1    | POL (Petroleum, Oil and Lubricants) | 25.8                       | 3.9                    |
| 2    | Electronic Goods                    | 13.7                       | 12.3                   |
| 3    | Gold & Silver                       | 8.7                        | 33.6                   |
| 4    | Chemicals                           | 6.3                        | 2.5                    |
| 5    | Transport Equipment                 | 4.7                        | 11.5                   |

Source: Economic Survey 2025–26, Statistical Appendix Table 6.2B.

### Performance of agricultural exports

- During FY20-FY25, **India's merchandise exports** grew with a **compounded average growth rate (CAGR) of 6.9 per cent**. In comparison, **agricultural exports** increased from USD 34.5 billion in FY20 to USD 51.1 billion in FY25, registering a **CAGR of 8.2 per cent**.
- India is the world's second-largest agricultural producer by value.
- However, according to the **WTO's World Trade Statistics**, the country's share in global agricultural exports has increased only modestly from 1.1 per cent in 2000 to 2.2 per cent in 2024.2



### Trade Performance of Production-Linked Incentive Scheme Sectors

- The **Production Linked Incentive (PLI) Scheme** is a Government of India initiative launched in 2020 to boost domestic manufacturing by giving **financial incentives** to eligible firms based on their **incremental sales of goods manufactured** in India over a base year.
- Sectors covered under PLI: The PLI scheme currently covers these 14 sectors:

#### 14 Sectors covered under PLI scheme

1. Mobile manufacturing and specified electronic components

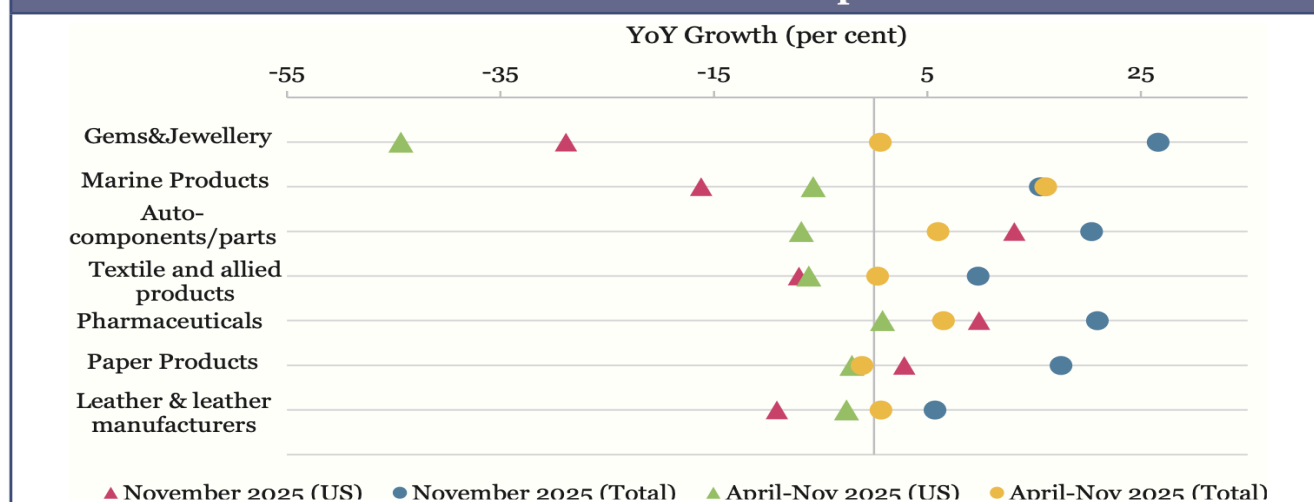
8. White goods such as air conditioners and LED lights

**14 Sectors covered under PLI scheme**

- |                                                                                                                                              |                                                                                                                                                                                                   |
|----------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2. IT hardware<br>3. Pharmaceutical drugs<br>4. Bulk drugs<br>5. Medical devices<br>6. Telecom and networking products<br>7. Food processing | 9. Textiles<br>10. Automobiles and auto components<br>11. Advanced chemistry cell (ACC) battery<br>12. High-efficiency solar PV modules<br>13. Specialty steel<br>14. Drones and drone components |
|----------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

**PLI sectors with high export growth**

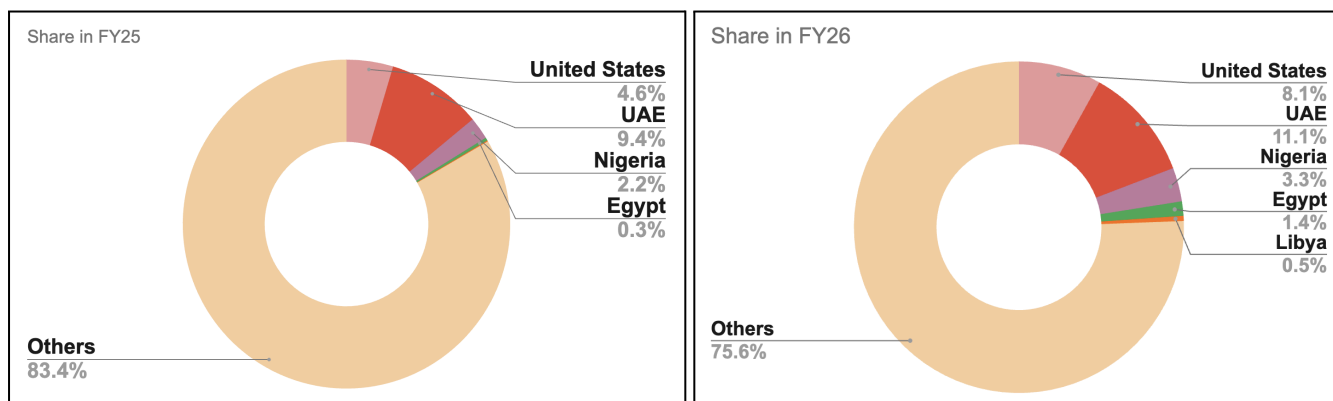
| PLI Sector       | Export AAGR (FY21–FY25) | Import AAGR (FY21–FY25) |
|------------------|-------------------------|-------------------------|
| IT Hardware      | 77.2%                   | 11.0%                   |
| ACC Batteries    | 45.0%                   | 24.9%                   |
| Electronics      | 38.8%                   | 17.6%                   |
| Solar PV         | 23.9%                   | 155.4%                  |
| Speciality Steel | 22.5%                   | 17.5%                   |

**Diversification of India's export destinations and import sources****Chart IV.9: Exports from labour-intensive sectors to the US and India's total exports**

Source: FTSPCC, Department of Commerce, accessed on 15 January 2025, <https://tinyurl.com/ywybytmj>.

| Diversity of India's export sector |                                               |                                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------------------------------|-----------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Export sector                      | Present destinations (growth rates 2025-2026) | Alternative destinations for India's exports                                                                                                                                                                                                                                                                                                                                                                       |
| Gems and jewellery                 | US (-44.3), World (0.6)                       | <ul style="list-style-type: none"> <li>• <b>Gems and jewellery:</b> UAE, Hong Kong.</li> <li>• <b>Gold and precious metal jewellery:</b> Bahrain, Saudi Arabia, France, UK.</li> <li>• <b>Pearls, precious and semi-precious stones:</b> Canada, Mexico, China.</li> </ul>                                                                                                                                         |
| Marine products                    | US (-5.7), World (16.1)                       | <ul style="list-style-type: none"> <li>• Vietnam, Malaysia, China, Belgium, Russia, Denmark, Germany, Poland, Sri Lanka</li> </ul>                                                                                                                                                                                                                                                                                 |
| Auto components /parts             | US (-6.8), World (6.0)                        | <ul style="list-style-type: none"> <li>• UAE, Germany, Belgium, Slovenia, Myanmar, Brazil, Nepal, Bangladesh</li> </ul>                                                                                                                                                                                                                                                                                            |
| Textiles and allied products       | US (-6.1), World (0.3)                        | <ul style="list-style-type: none"> <li>• <b>Cotton fabrics, made-ups etc.:</b> Nigeria, Senegal, Sudan, Colombia, Sweden, Uganda, UAE.</li> <li>• <b>Manmade yarn, fabrics and made-ups:</b> UAE, Germany, Netherlands, Spain, Italy, Senegal.</li> <li>• <b>Ready-made garments of cotton including accessories:</b> UAE, Poland, Spain, Japan, France, Hong Kong.</li> <li>• <b>Silk carpets:</b> UAE</li> </ul> |
| Pharmaceutical products            | US (0.8), World (6.5)                         | <ul style="list-style-type: none"> <li>• <b>AYUSH and herbal products:</b> Vietnam, Nigeria, Italy, Russia.</li> <li>• <b>Bulk drugs and drug intermediaries:</b> Netherlands, Brazil, France.</li> <li>• <b>Drug formulations and biologicals:</b> Nigeria, Mexico, Republic of Tanzania.</li> <li>• <b>Surgicals:</b> Sri Lanka, Spain, Nigeria, Saudi Arabia</li> </ul>                                         |
| Paper products                     | US (-2.1), World (-1.2)                       | <ul style="list-style-type: none"> <li>• <b>Books, publications and printing:</b> Kenya, Republic of Tanzania, Malawi, Ethiopia.</li> <li>• <b>Paper, paperboard and products:</b> Bangladesh, Russia, Oman.</li> <li>• <b>Plywood and allied products:</b> Vietnam, Poland, Spain, UK</li> </ul>                                                                                                                  |
| Leather products                   | US (-2.6), World (0.6)                        | <ul style="list-style-type: none"> <li>• <b>Leather footwear:</b> Austria, Netherlands, UAE, Germany. <b>Leather garments:</b> France, UK, Colombia, Austria, Russia. <b>Leather goods:</b> Spain, Netherlands, Chile, Belgium, Norway</li> </ul>                                                                                                                                                                  |





| Share of crude oil imports |                                |                                |
|----------------------------|--------------------------------|--------------------------------|
| Country                    | Share in FY25 (April-November) | Share in FY26 (April-November) |
| United States              | 4.6%                           | 8.1%                           |
| UAE                        | 9.4%                           | 11.1%                          |
| Nigeria                    | 2.2%                           | 3.3%                           |
| Egypt                      | 0.3%                           | 1.4%                           |
| Libya                      | 0.1%                           | 0.5%                           |
| Others                     | 83.4%                          | 75.6%                          |

- India ranks **44th** out of **145** countries on the **Economic Complexity Index (ECI)** as measured by the **Harvard Atlas of Economic Complexity**. Although this represents an improvement from India's 57th position in CY 2013, its ranking has remained unchanged since CY 2019.
  - The **economic complexity** of a country is calculated based on the diversity of exports a country produces and their ubiquity, or the number of countries able to produce them.
  - Ranking of the Export Complexity Index** - A rank of countries based on how diversified and complex their export basket is.
- The country's underutilised productive capabilities are revealed through the gap between its relatively **modest ECI ranking** and its second rank globally on the **Economic Complexity Outlook Index (COI)**.
  - The **Economic Complexity Outlook Index (COI)** is a measure of how many complex products are near a country's current set of productive capabilities.
  - The COI captures the ease of diversification for a country, where a high COI reflects an abundance of nearby complex products that rely on similar capabilities or know-how as that present in current production.
- India's **manufacturing-led growth strategy** and **deeper participation in GVC** underscore the need for closer coordination between **transfer pricing** (under income-tax law) and **customs valuation** (under customs law) in respect of **related-party imports**.
  - Transfer pricing**: the price charged in transactions between related entities of the same multinational group.
  - Customs valuation**: the method used to determine the value of imported goods for charging

customs duty.

- While **transfer pricing** provisions are designed to prevent **over-pricing of imports** and **customs valuation** rules address **under-invoicing**, both frameworks are anchored in the **arm's length principle**.
- Out-licensing:** A company that owns a product, technology, patent, or intellectual property gives another company the right to use, make, market, or sell it, usually in return for royalty, upfront payment, or milestone payments.
  - E.g.** An Indian pharma company develops a drug molecule and out-licenses it to a foreign pharma firm for marketing in Europe or the US.

#### Trade deals in news

| Country / bloc        | Deal name                                                      | Current status                                                                      |
|-----------------------|----------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <b>United Kingdom</b> | India–UK Comprehensive Economic and Trade Agreement (CETA)     | Concluded (July 2025)                                                               |
| <b>Oman</b>           | India–Oman Comprehensive Economic Partnership Agreement (CEPA) | Concluded (Dec 2025)                                                                |
| <b>United States</b>  | India–US framework for an interim agreement / trade deal       | Not a full FTA yet. Framework announced on 7 February 2026. Negotiations ongoing    |
| <b>Chile</b>          | India–Chile trade negotiations                                 | Negotiations ongoing                                                                |
| <b>Peru</b>           | India–Peru FTA negotiations                                    | Negotiations ongoing                                                                |
| <b>New Zealand</b>    | India–New Zealand FTA                                          | Negotiations concluded / announced on 22 December 2025; not yet signed/implemented. |
| <b>Israel</b>         | India–Israel Bilateral Investment Treaty (BIT)                 | Signed                                                                              |

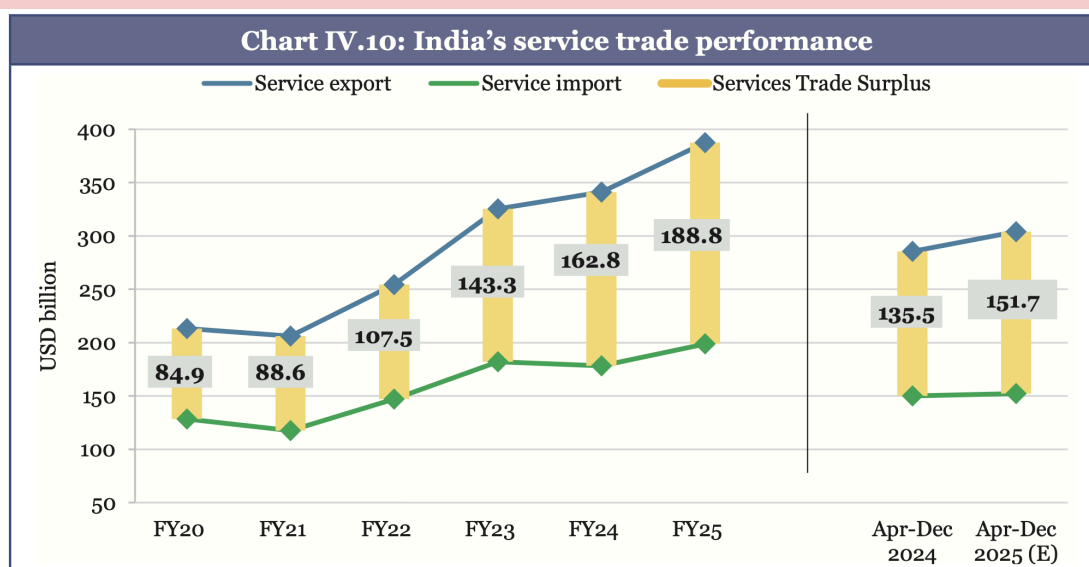
#### Other trade deals

| Country / bloc                                               | Deal name                                                  | Current status                                                                                                                          |
|--------------------------------------------------------------|------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>European Union</b>                                        | India–EU FTA                                               | Negotiations concluded / announced on 27 January 2026; not yet signed.                                                                  |
| <b>EFTA</b><br>(Switzerland, Norway, Iceland, Liechtenstein) | India–EFTA Trade and Economic Partnership Agreement (TEPA) | Signed on 10 March 2024; entered into force on 1 October 2025. Includes binding investment commitment of USD 100 billion over 15 years. |

|                     |                                                                                      |                                 |
|---------------------|--------------------------------------------------------------------------------------|---------------------------------|
| <b>UAE</b>          | India–UAE Comprehensive Economic Partnership Agreement (CEPA)                        | In force since 2022.            |
| <b>Australia</b>    | India–Australia Economic Cooperation and Trade Agreement (ECTA)                      | Implemented in December 2022.   |
| <b>Mauritius</b>    | India–Mauritius Comprehensive Economic Cooperation and Partnership Agreement (CECPA) | In force since 2021.            |
| <b>ASEAN</b>        | India–ASEAN Trade in Goods Agreement (AITIGA)                                        | Already in force; under review. |
| <b>Japan</b>        | India–Japan CEPA                                                                     | In force.                       |
| <b>South Korea</b>  | India–Korea CEPA                                                                     | In force.                       |
| <b>Singapore</b>    | India–Singapore CECA                                                                 | In force.                       |
| <b>Malaysia</b>     | India–Malaysia CECA                                                                  | In force.                       |
| <b>Sri Lanka</b>    | India–Sri Lanka FTA                                                                  | In force.                       |
| <b>MERCOSUR</b>     | India–MERCOSUR PTA                                                                   | In force.                       |
| <b>SAFTA / APTA</b> | South Asia Free Trade Area / Asia Pacific Trade Agreement                            | In force.                       |

- **Trade Connect ePlatform** provides information on **tariff concessions** available to eligible exports from the country.
- **Export Promotion Mission (EPM):**
  - It establishes a comprehensive, flexible, and digitally driven framework for enhancing export initiatives.
  - This approach signifies a strategic transition from numerous **fragmented schemes to a unified, outcome-oriented mechanism** capable of promptly responding to global trade challenges and the evolving needs of exporters.
- **Credit Guarantee Scheme for Exporters:**
  - It provides **additional financial assistance** to Indian exporters during periods of uncertainty, thereby ensuring liquidity, promoting business continuity, and creating opportunities to expand into new markets
- **Other complimentary steps taken to improve effectiveness of EPM:**
  - moratorium/deferment on payments of all instalments (principal and/or interest) for eligible borrowers to be extended by the regulated entities.
  - An extension of tenor for export credit by an eligible RE.
  - Under the **Foreign Exchange Management (Export of Goods and Services) (Second Amendment) Regulations, 2025**, the period for realisation and repatriation of export proceeds has been extended from **nine months to 15 months**, and the shipment period against advance payments has been increased from one year to three years.

## Services trade



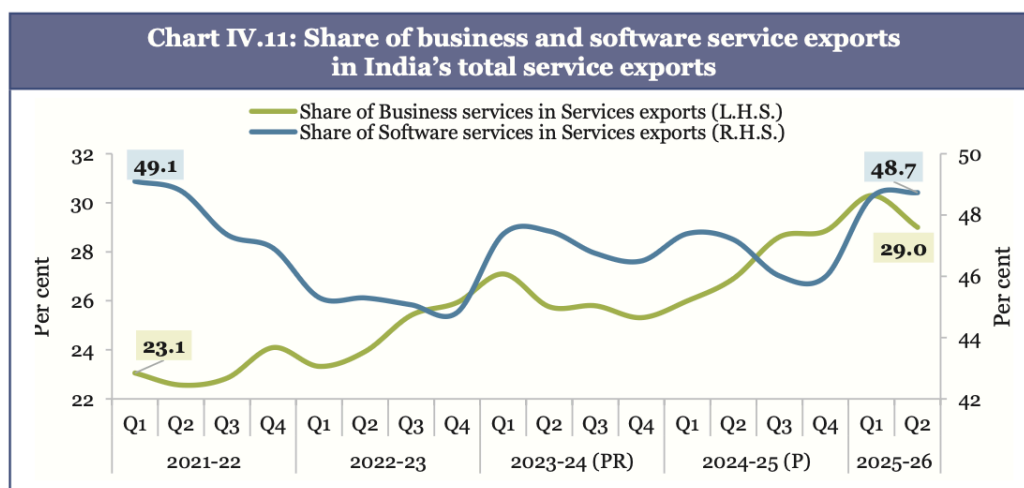
- According to **Stanford's AI Index Report 2025**, the country is second globally in **AI skill penetration** with a score of 2.5, just behind the US at 2.6.

## Top 5 Services Exports from India

| Rank | Service Category          | Estimated Share (%) | Top Destinations              |
|------|---------------------------|---------------------|-------------------------------|
| 1    | Software / Computer / ICT | ~47.4%              | USA, UK, Germany, Canada      |
| 2    | Business Services         | ~23% – 25%          | USA, UK, UAE, Singapore       |
| 3    | Travel Services           | Significant Growth  | UK, USA, GCC Countries        |
| 4    | Transport Services        | ~9%                 | UAE, Singapore, USA, China    |
| 5    | Financial & Insurance     | Smaller Commercial  | UK, Singapore, USA, Hong Kong |

## Top 5 Services Imports from India

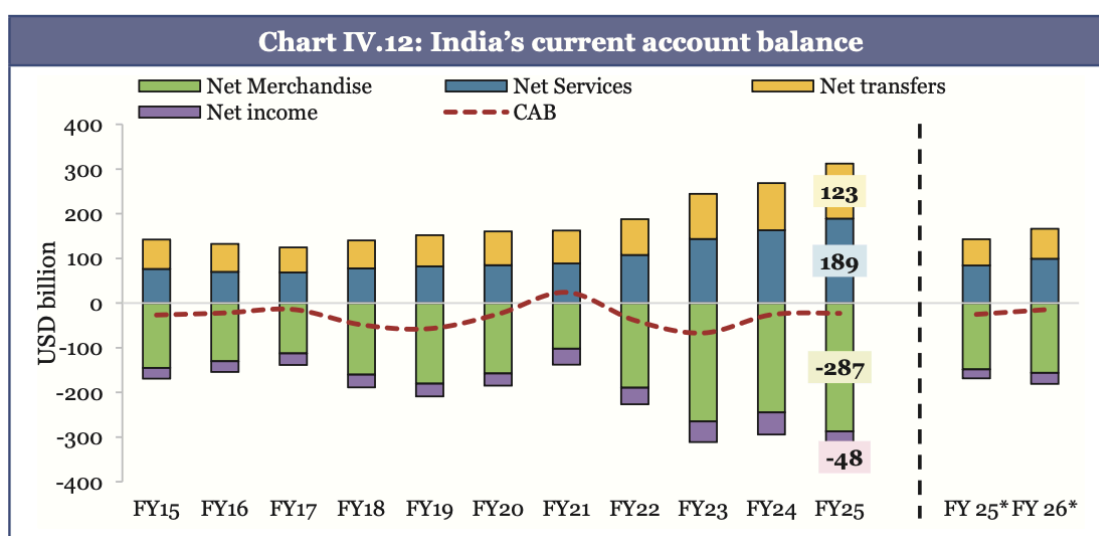
| Rank | Service Category          | Estimated Share (%) | Top Sources (Origin)           |
|------|---------------------------|---------------------|--------------------------------|
| 1    | Business Services         | High Growth Area    | USA, Singapore, UK, Germany    |
| 2    | Travel Services           | 17.78%              | UAE, USA, Thailand, UK         |
| 3    | Transport Services        | 17.53%              | UAE, Singapore, China, Denmark |
| 4    | Communications & Computer | Rising Demand       | USA, Ireland, Singapore        |
| 5    | Insurance & Financial     | ~4%                 | UK, USA, Singapore             |



## INDIA'S BALANCE OF PAYMENTS

### Developments in the current account

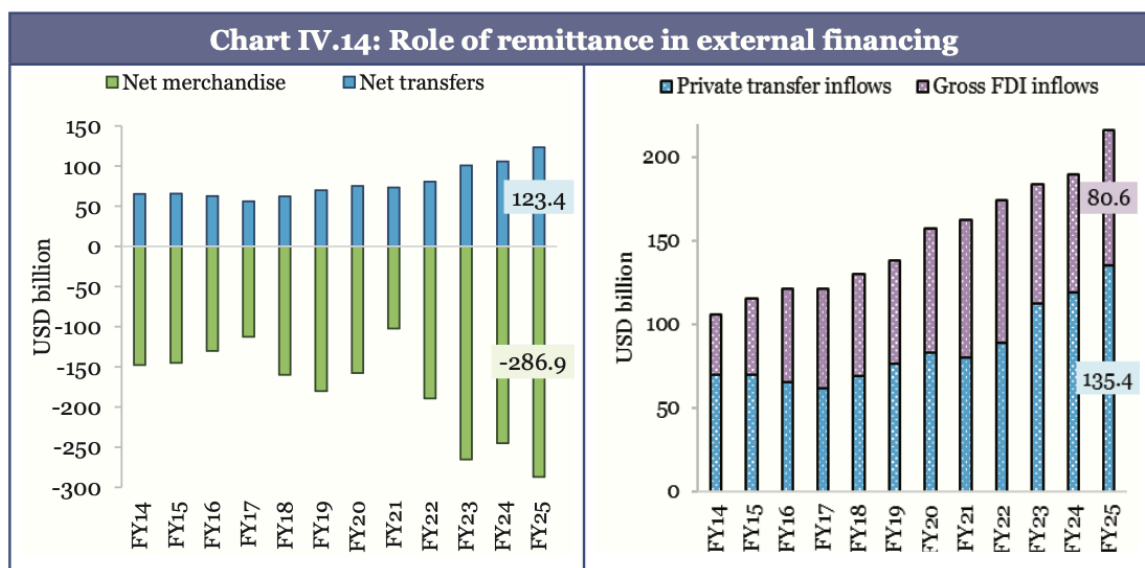
- The services surplus has **expanded steadily**, driven by India's growing role in global IT, business, and professional services.
- Remittance inflows have also **increased consistently**, providing a stable, counter-cyclical buffer.
- In H1 FY26, the CAD moderated to USD 15 billion (0.8 per cent of GDP) from USD 25.3 billion (1.3 per cent of GDP) in H1 FY25.



### Remittances

- remittance inflows increased steadily from FY11 to FY25, accounting for approximately **3.5 per cent of GDP in FY25**.
- in most years, remittances (private transfer receipts) have surpassed gross FDI inflows, highlighting their importance as a dependable source of external funding.





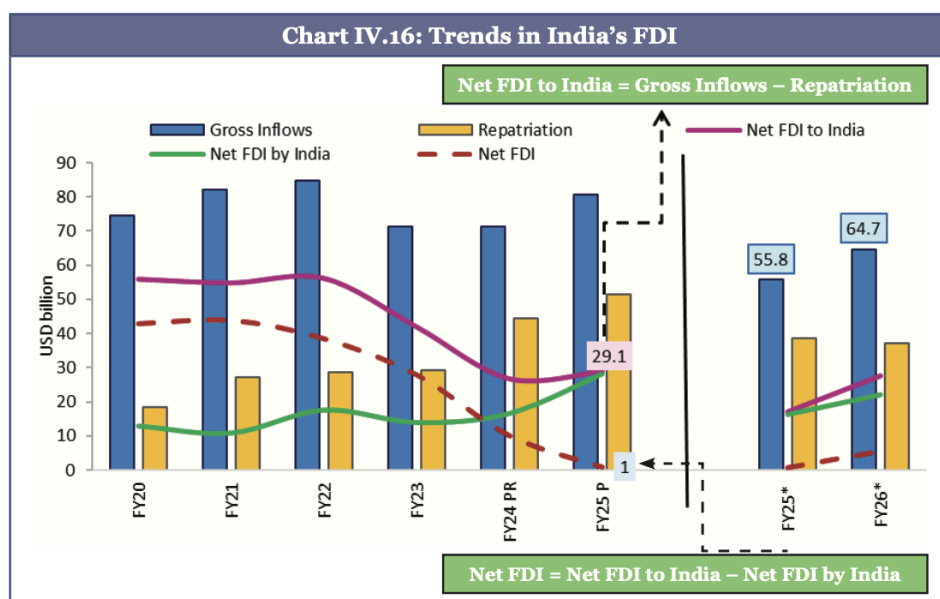
- While **Gulf Cooperation Council** countries have historically dominated India's inward remittances, **AEs(Advanced Economies)** now contribute more, indicating a shift towards skilled and professional workers. The **US is the top contributor** with 27.7 per cent, followed by the **UAE** (19.2 per cent), the **UK** (10.8 per cent), and **Singapore** (6.6 per cent).

### Global trends in foreign direct investment flows

- According to the latest **UNCTAD's World Investment Report 2025**, global FDI inflows declined by 11 per cent (YoY) in CY 2024.
- Despite tighter financing conditions and heightened geopolitical uncertainty, **FDI inflows to developing economies remained broadly stable**. Asia continued to be the largest recipient region
- FDI inflows to developed countries (excluding **European conduit economies**) declined by 7 per cent in the H1 of 2025. The US remained a notable exception, supported by substantial commitments in the AI and semiconductor sectors
  - European conduit economies**, primarily **Luxembourg**, the **Netherlands**, **Ireland**, **Switzerland**, and the **UK**, serve as key international transfer points for Foreign Direct Investment (FDI).

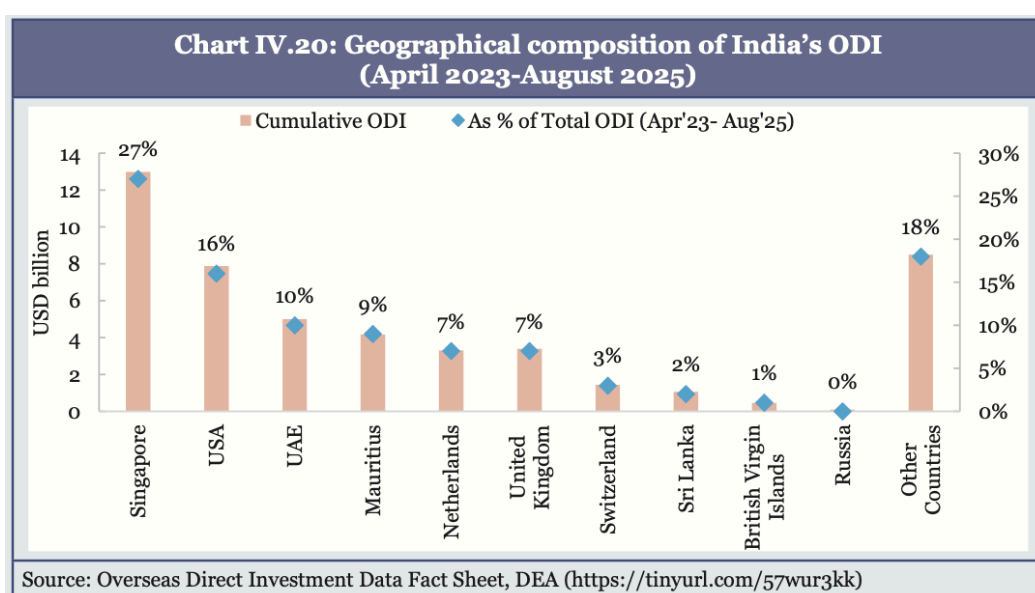
### Trends in investment flows into India

- According to UNCTAD data, while India recorded a **marginal decline of 2 per cent** in FDI inflows in CY 2024, it remained the **largest recipient** of gross inflows in South Asia and surpassed major Asian peers such as Indonesia and Vietnam.
- According to RBI data, in FY25, gross FDI inflows into India stood at USD 81.0 billion, representing a 13 per cent increase from in FY24. Of these gross FDI inflows, equity inflows accounted for a majority of USD 51 billion.
- Greenfield projects**: Projects started from scratch on a new, undeveloped site. They involve fresh construction, new infrastructure, and no major dependence on existing facilities.
- Brownfield projects**: Projects developed by expanding, upgrading, or redeveloping an existing site or facility. They use already available land or infrastructure, so implementation is often faster and cheaper than greenfield projects.



- The **World Bank's Logistics Performance Index** placed India at **38th position** in 2023.
- The **steady rise in ODI** reflects the growing competitiveness of Indian firms, their efforts to secure technology, markets, and resources abroad and the enabling effect of the **liberalised ODI framework** introduced in 2022.
- Empirical evidence from India indicates that **OFDI (outward FDI)** has complemented, rather than displaced, domestic investment.
- **OFDI** refers to **outward FDI** as defined by international statistical standards such as **UNCTAD**. **ODI** denotes **overseas direct investment** by Indian residents as reported by the **DEA, Ministry of Finance**, and captures actual outward flows in the form of equity, loans, and guarantees.

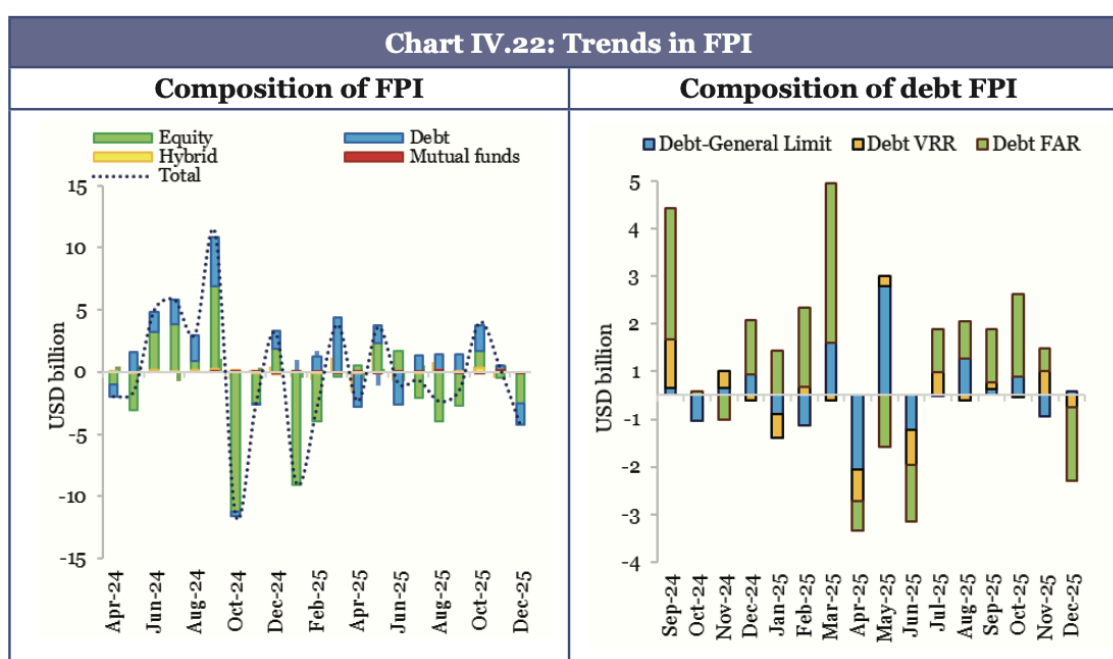
### Trends in India's ODI



### Foreign portfolio investments

## Debt–Equity classification in FPI

- Governed under **Foreign Exchange Management Act (FEMA), 1999** via **Overseas Investment / Non-debt Instruments Rules (NDI Rules, 2019)** - clearly defines what will count as equity (non-debt) vs debt instruments.
  - Equity / Non-debt instruments:** shares, convertible debentures, units of equity-oriented funds
  - Debt instruments:** government securities, corporate bonds, T-bills, non-convertible debentures
- There are **separate investment limits** and a **different regulatory approach** is followed
- RBI** tracks FPI flows separately into debt and equity to assess:
  - capital flow stability
  - external vulnerability
  - market sentiment

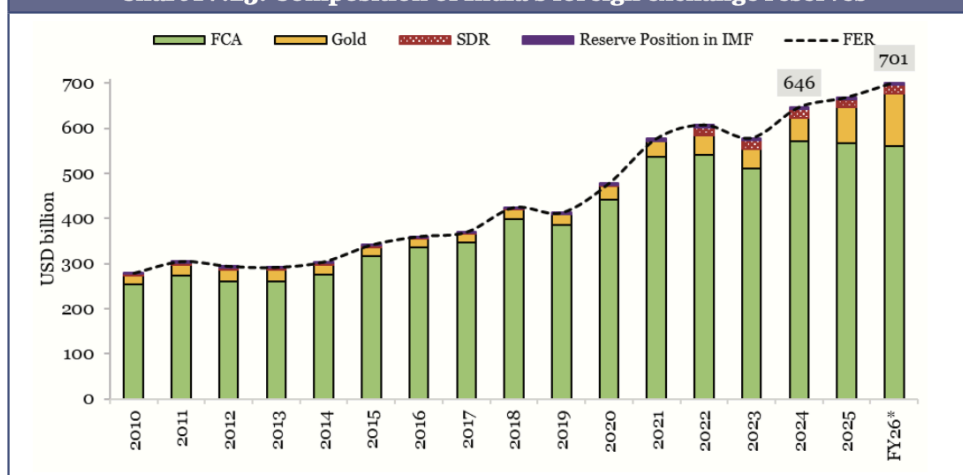


- Voluntary Retention Route (VRR):**
  - A route by the Reserve Bank of India for FPIs to invest in Indian debt.
  - Under VRR, FPIs invest in Indian debt instruments with the condition that they will retain at least 75% of their investment for a minimum period (currently three years).
- Fully Accessible Route (FAR):**
  - A route where certain government securities are fully open to FPIs.
  - FAR permits FPIs, NRIs, OCIs, and other eligible non-residents to invest without quantitative caps, repatriation limits, or sectoral restrictions in designated G-secs (known as FAR bonds).
  - Aimed at increasing foreign participation in India's bond market.

## Foreign exchange reserves

- The reserves as of 16 January 2026 are sufficient to cover around **11 months** of goods imports and about 94 per cent of the external debt outstanding at the end of September 2025, providing a comfortable liquidity buffer.

Chart IV.23: Composition of India's foreign exchange reserves

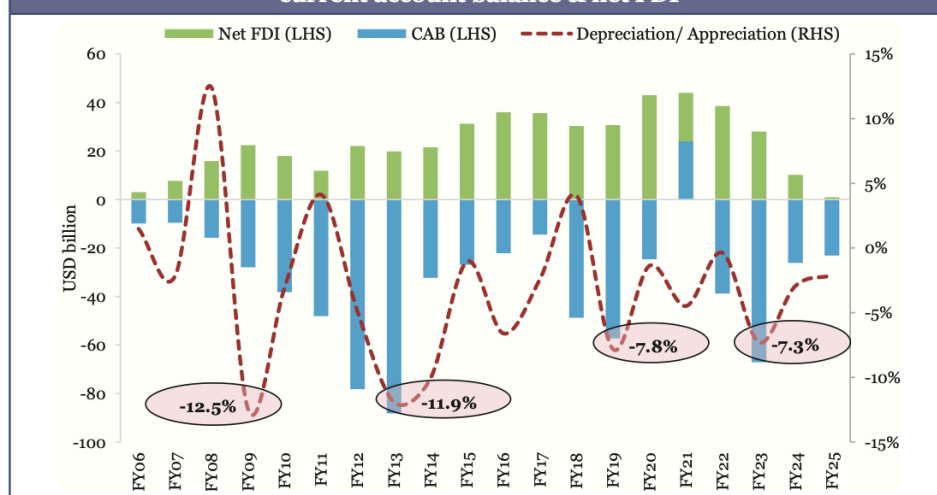


- **Foreign Currency Assets (FCA)**, the liquid core of reserves, softened slightly from USD 567.6 billion at end-March 2025 to USD 560.5 billion as of 16 January 2026.
- The **gold component increased sharply** to USD 117.5 billion as of 16 January 2026, up from USD 78.2 billion at end-March 2025.
- Continued preference among central banks for **diversifying into non-dollar reserve assets**.

### Exchange rate

- In the **short run** (1 April 2025 – 15 January 2026), exchange rate dynamics in India were shaped by **persistent outflows of foreign investment** and evolving bilateral trade developments, including tariff-related measures, which together contributed to **cautious investor sentiment**.
- Traditional BoP inflows, such as exports and foreign capital, that have historically arrested currency depreciation in EMEs, are increasingly influenced by global shifts in geopolitical sentiment.

Chart IV.24: Exchange rate movements in relation to the current account balance &amp; net FDI



- In **FY08, FY18 and FY22**, despite rapid import expansion, the **rupee appreciated** due to robust **net foreign investment inflows**. This shows exchange-rate movements depend not only on the **trade deficit**, but also on the **composition and stability of capital inflows**.
- This link between the **BoP position** and **exchange-rate movements** highlights the relative role of the trade and financial channels.
- The **trade channel of the BoP** benefited from a **weaker currency**, as it raised import costs and reduced export prices.
- A **weaker currency did not benefit the financial channel**, as prolonged weakness could raise the

cost of foreign lending and lead to **net capital outflows**. For India, however, the trade-channel gains far outweighed the financial-channel costs, so on balance a weaker currency was beneficial for the BoP.

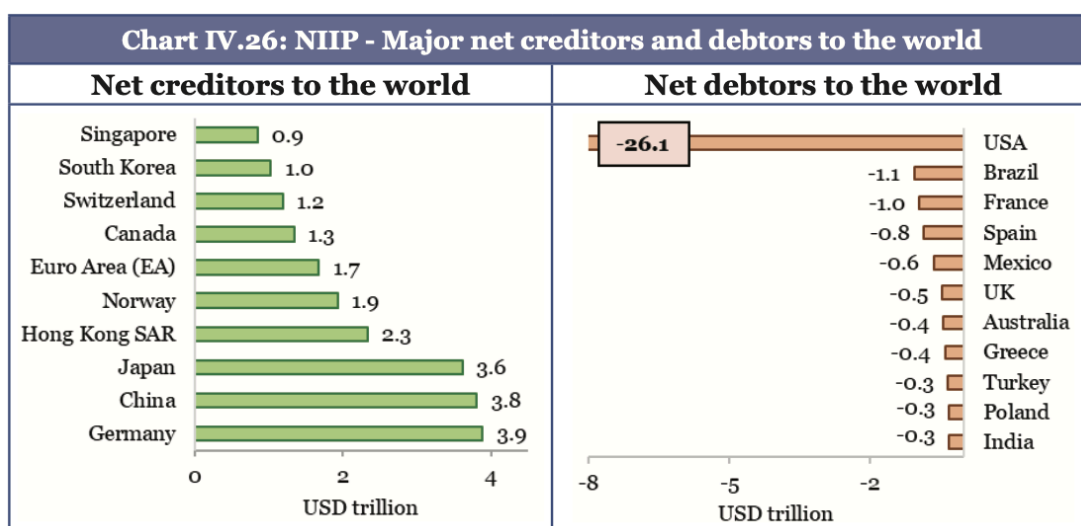
- Overall, the conclusion remains that substantial gains from a depreciated Rupee in the merchandise trade channel outweigh any costs incurred through the financial channel.

### India's exchange rate: Underlying drivers

- **Exchange rate outcomes** over the medium to long term are fundamentally anchored in a country's **savings-investment balance** and its **resulting current account position**. Historical experience across economies suggests that sustained currency strength is typically associated with **persistently high domestic savings** and **current account surpluses**.
  - *Explained in class*
- India has improved its standing in the **World Intellectual Property Organisation's Global Innovation Index** over the past decade and is consistently assessed as performing above expectations for its income level.
- Sustained export competitiveness will ultimately rest on the ability to deliver consistent quality at scale, which in turn depends on a deeper culture of innovation, continuous productivity improvement and investment in R&D by the private sector.
- Government initiatives, such as the **ANRF** and **RDIF**, can act as **catalytic enablers** in this process.
  - **ANRF (Anusandhan National Research Foundation)**: An apex body to promote research, development and innovation across universities, colleges, research institutions and labs, while also linking academia, industry and government.
  - **RDIF (Research, Development and Innovation Fund)**: A government-backed fund under the RDI Scheme to provide long-term, patient and risk-tolerant financing, especially for private-sector-led, high-risk, high-impact innovation and lab-to-market scaling.

### International Investment Position

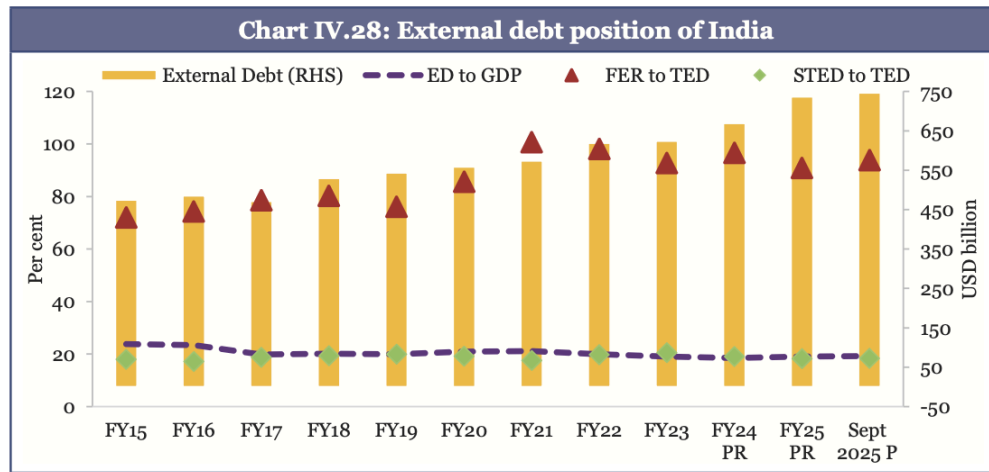
- Over the past decade, changes in the **Net International Investment Position (NIIP)** have shaped the world's external wealth landscape.
  - **NIIP** shows the **difference** between a country's external assets and liabilities at a specific time. A **positive NIIP** means a net creditor; a **negative NIIP** indicates a net debtor.
- India ranked as the **11th largest debtor globally**, with a negative NIIP of USD 0.3 trillion as of Q2 CY 2025.





## External debt

- India ranked **21st worldwide** and **11th within the G20** at end-December 2024, with an external debt stock of USD 718.2 billion, a 10.7 per cent increase YoY.
- Despite this expansion, India remains **modestly leveraged**, with an **external debt-to-GDP ratio of 18.4 per cent**, well below that of many large economies.



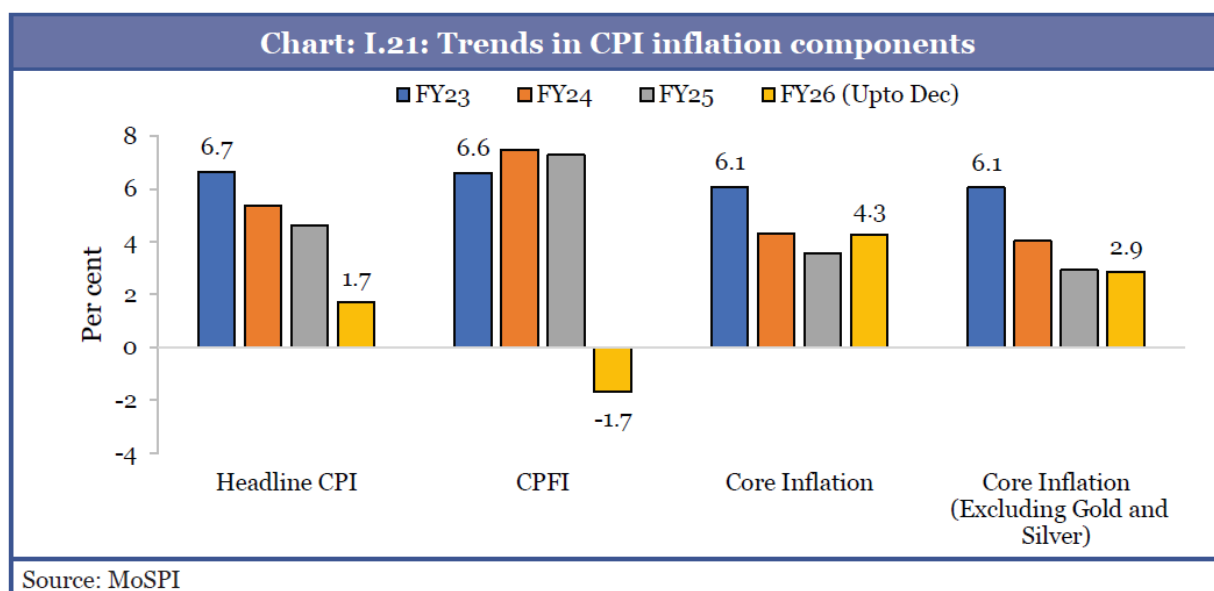
- External debt is largely **foreign currency-denominated** (mainly USD), which creates exchange rate risk. Some external debt can be **rupee-denominated** (e.g., **Masala bonds**), but this is a small share.

A robust and stable currency can only be achieved through export competitiveness. History demonstrates that countries with sustained manufacturing export success are those that have maintained hard currency status, characterised by currency stability and strength.

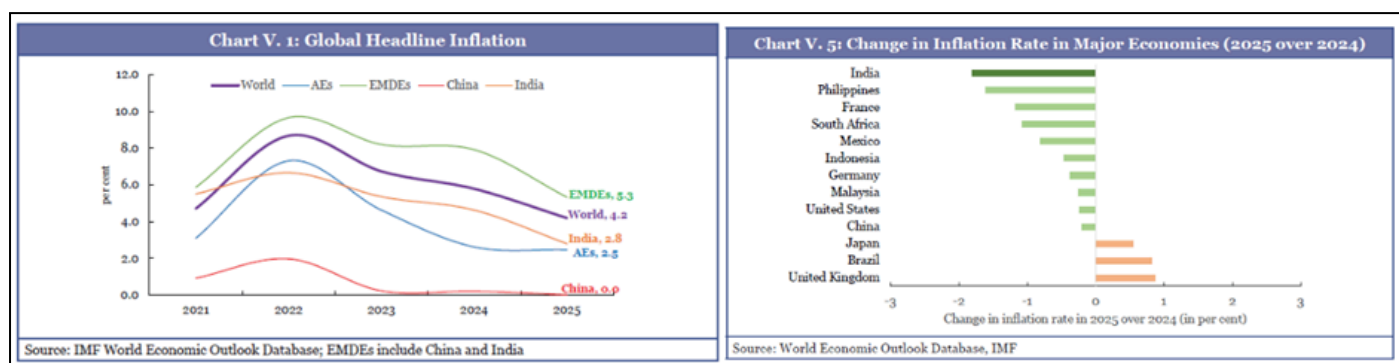
## CHAPTER 5: INFLATION- TAMED &amp; ANCHORED

## Introduction:

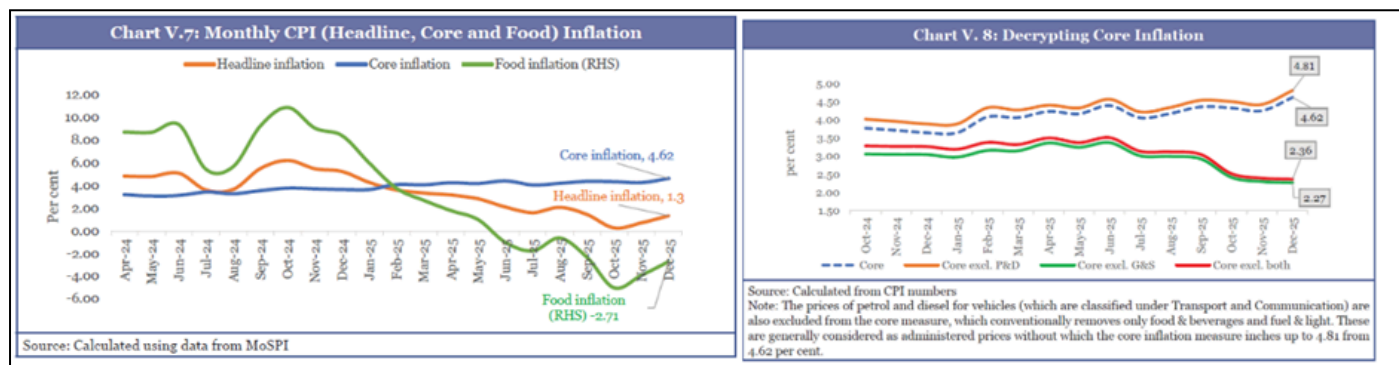
- Global inflation has eased significantly from post-pandemic highs, with advanced economies stabilising around 2–3 per cent and emerging markets, including India, also seeing lower inflation.
- India has recorded a **sharp fall in headline inflation alongside strong GDP growth**, reflecting strong macroeconomic fundamentals, easing commodity prices, and effective monetary policy.
- Domestic CPI inflation followed a **clear downward trend and reached 1.7** per cent in 2025–26, mainly due to a steep fall in food prices such as vegetables, pulses, and spices.
- **Core inflation appears sticky**, but much of it is driven by surges in precious metals; excluding these, underlying inflationary pressures are more subdued.
- Government interventions have played an important role in stabilising food and edible oil prices, while rural inflation has remained more volatile because food has a higher weight in rural consumption baskets.



## GLOBAL INFLATION DEVELOPMENT



## DOMESTIC INFLATION DEVELOPMENT

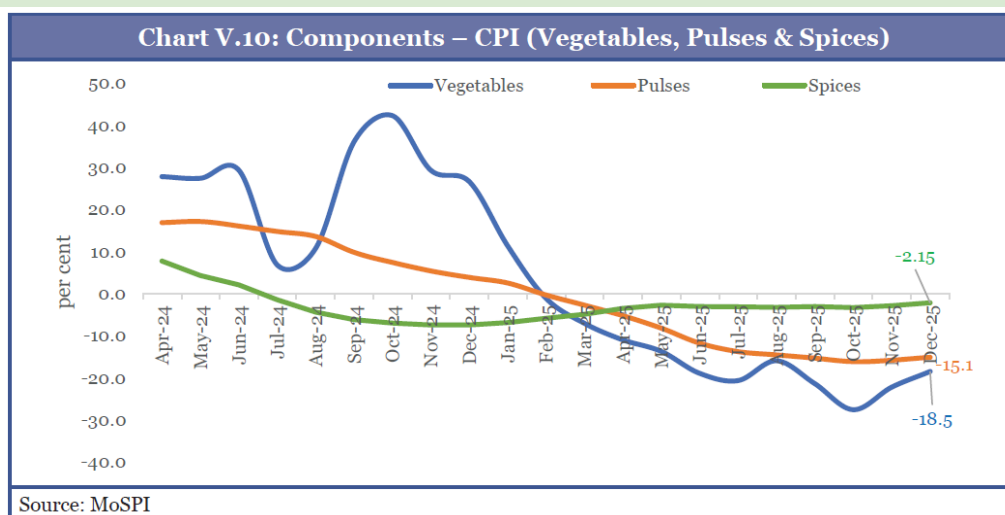


- The apparent divergence between headline and core inflation creates an **impression of sticky core inflation**, suggesting that underlying price pressures are firming even as headline inflation softens.
- Increase in core inflation is largely driven by sharp **increases in the prices of precious metals like gold and silver**, which have touched lifetime highs amid heightened global uncertainty and strong safe-haven demand

## Dominance of the base effect:

- Inflation can be decomposed into two components:
  - **The momentum effect:** It captures the month-on-month price changes in the current year
  - **The base effect:** It reflects the influence of price movements in the corresponding months of the previous year on year-on-year inflation.

## Drivers of Food Disinflation:

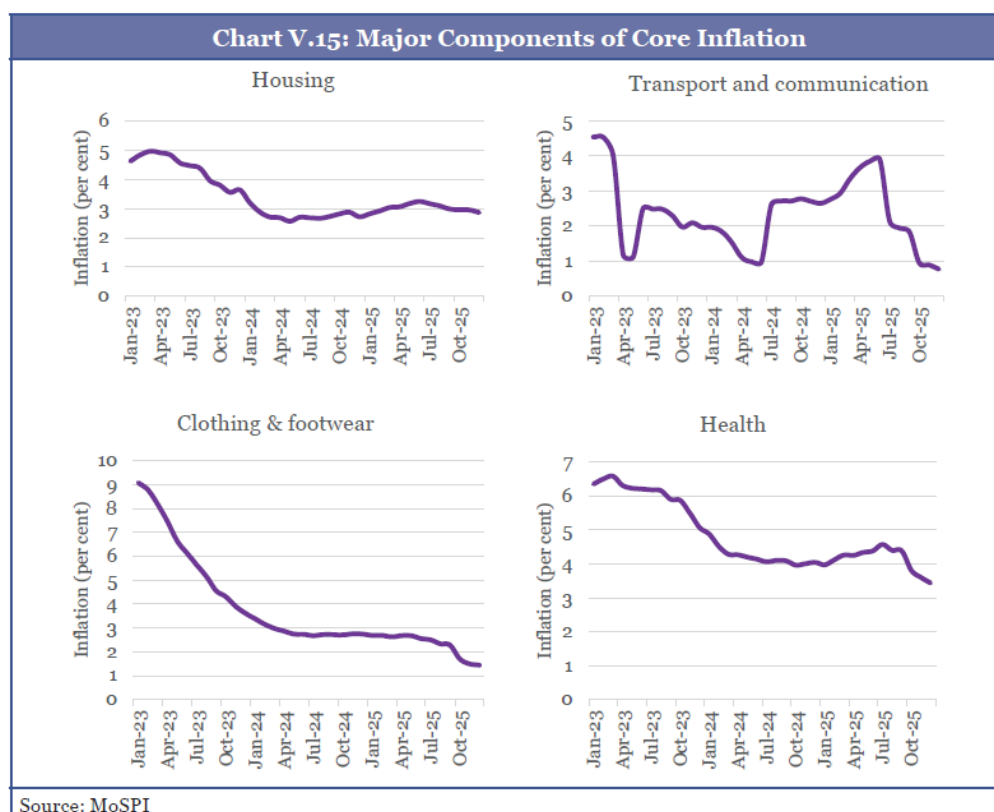


- Food inflation experienced a steady decline throughout the year, entering deflationary territory since June 2025
- There was a sustained and steep decline in vegetable prices, which remained deeply negative for much of the year
- Spice prices also remained in deflation for an extended period of 18 months
- Inflation in cereals had been declining throughout the year
- horticultural commodities did not witness a surge in inflation during the current year; instead, their prices declined sharply
  - The contraction was particularly pronounced for potatoes, onions, tomatoes, and garlic

- For **TOP commodities (tomatoes, onions and potatoes)**, the Government actively intervenes to contain excessive price fluctuations through buffer stocking and market release operations.
  - Onion buffer stocks were released from September 2025 through direct retail sales to consumers at discounted prices
- Amid the sharp disinflation observed across several food items, the experience of edible oils stands out.
  - The edible oil market in India is characterised by structural excess demand, with over 50 per cent of domestic consumption met through imports, rendering domestic prices highly sensitive to global price movements
  - In response to sharply falling prices, the Government imposed a basic customs duty (BCD) of 20 per cent on crude edible oils

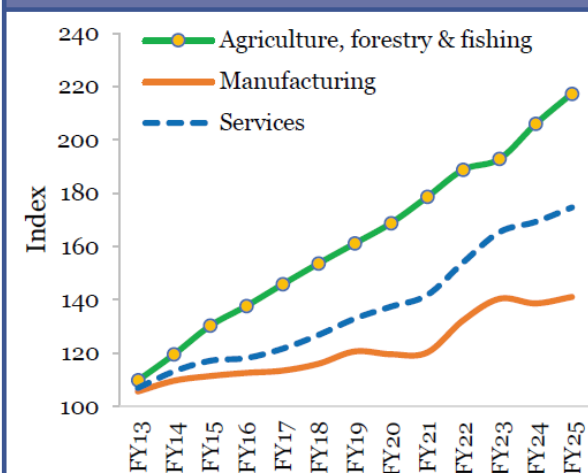
### Drivers of Core inflation

- The four major components of the core CPI basket – (i) **clothing and footwear**, (ii) **housing**, (iii) **health** and (iv) **transport and communication** – account for nearly **one-third of the CPI basket** and **more than 60 per cent** of the core measure.
- Housing inflation **declined steadily** through 2023 and early 2024 and thereafter stayed stable.



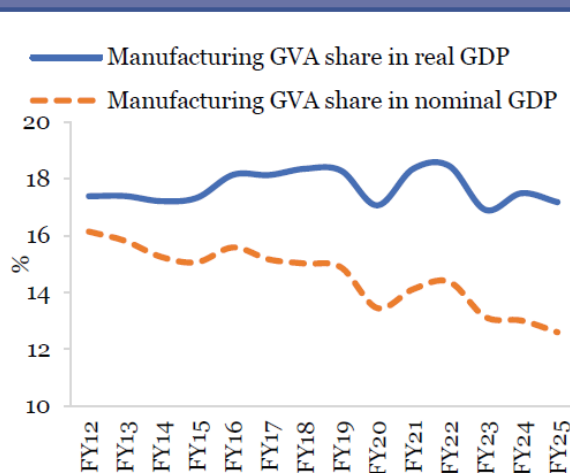
## GDP DEFLATORS: MANUFACTURING'S REVERSAL IN TERMS OF TRADE

Chart I.15: Growth in manufacturing GVA deflator has remained moderate



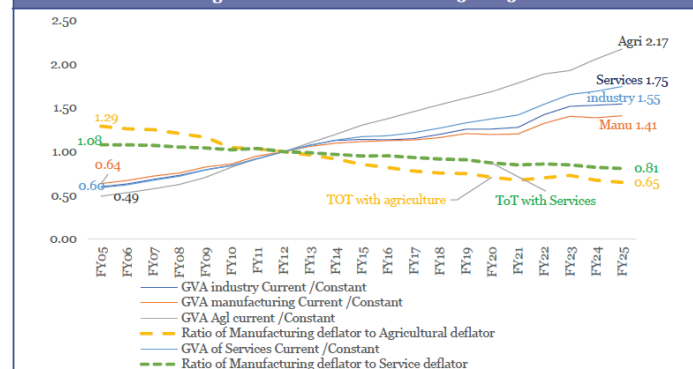
Source: MoSPI

Chart 1.16: Share of manufacturing remains stable in real terms



- The GDP deflator is a broad measure of the general price level in an economy. It is defined as the ratio of nominal GDP to real GDP.
- The **ratio of manufacturing to agriculture sector deflators** tells how manufacturing prices have moved relative to agricultural prices.
- If the ratio is greater than 1, then Manufacturing prices are higher relative to agricultural prices, which implies better terms of trade for manufacturing and vice versa.
- **Manufacturing's terms of trade have worsened**, especially relative to agriculture. This means **prices of manufactured goods have risen much more slowly** than agricultural prices.
- Since **relative prices are weaker**, the **nominal value** of manufacturing output grows more slowly, so its **share in current-price GVA declines** even if real output has not collapsed.
- Better terms of trade for agriculture make that sector **more attractive for resources** like land and labour, which can gradually shift away from manufacturing.
- Weaker relative prices in manufacturing also mean **tighter profit margins**, because firms face global competition and cannot raise prices as easily as agriculture or services.
- Due to this adverse terms-of-trade movement, manufacturing's **current-price share falls**, even though its **constant-price GVA share and GVO share remain fairly stable**. So the decline is largely a **price/valuation effect**, not purely a fall in physical production.

Chart V. 16 Terms of Trade of Manufacturing Sector with Agriculture and Services: FY05-FY25

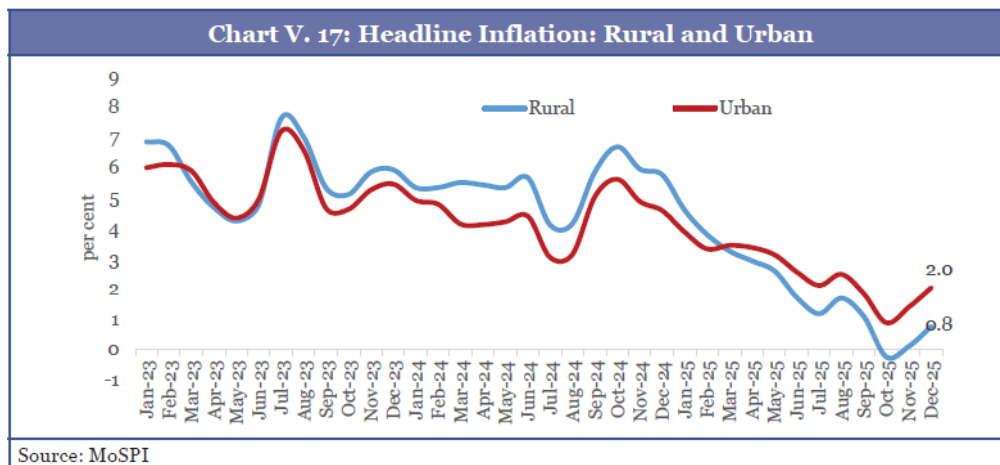


Source: Calculated using the NAS data from MoSPI; Base year 2011-12

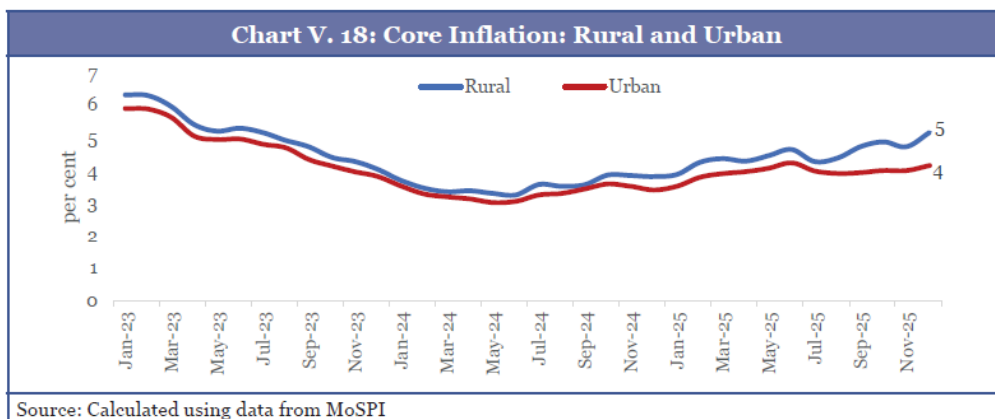
## INFLATION: REGIONAL PICTURE

- **Rural vs Urban Inflation**
  - Throughout much of 2023 and 2024, rural inflation remained above urban inflation
  - As food prices are more volatile, rural inflation across the states has shown greater volatility than inflation in urban areas.





- 
- In contrast to headline inflation, core inflation in rural and urban areas follows a smoother and more gradual adjustment path; **the gap is modest and stable**, indicating broadly similar pricing behaviour and demand patterns across regions once volatile food and fuel components are excluded.



## OUTLOOK FOR INFLATION

- According to the **World Bank's Commodity Prices Outlook**, October 2025, **global commodity prices are expected to decline by approximately 7 per cent in FY27**, primarily driven by subdued crude oil prices amid oversupply.



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